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Securitized Products Weekly

Global Markets Research
22 October 2026

Securitized Products - North America

Securitized Products Weekly

Agency MBS

Over the past week, 10yr Tsy yields rallied while the MBS basis remained unchanged. Although near-term supply-demand technicals appear favorable for MBS, equity selloff and increased rate/macro volatility could drive fixed income fund outflows. In Q3, REITs added $7bn of MBS and were optimistic about agency MBS due to attractive levered RoEs at current spread levels. In September, MBS overweights increased for large active funds as they preferred to sell other fixed income assets. In recent months, CMO derivative OAS spreads remained stable despite the widening in the MBS basis and increased pricing for Fed rate hikes. Within IIOs, we favor higher-strike (6.0%+) IIOs which have very high (28%+) spot yields with relatively less downside risk even if the Fed hikes more than once in the coming year. Separately, we highlight Ginnie customs with the best extension protection including VACO, low LB and ET pools.

Mortgage Credit

Secondary spreads were unchanged across all sectors and trading volumes were low due to the ABS East Conference. HELOC issuance has grown rapidly since 2024, and we expect issuance to total $17bn in 2027, with emerging digital lending platforms offering potential for further growth. We find HELOCs as an attractive option for investors seeking extension protection, however, investor participation could be limited in some shelves that are not rated by the major rating agencies.

ABS East recap: RMBS/ABS/CLO

The overall tone was slightly constructive but attendees expressed increased caution regarding macro risks and potential repricing of the AI buildout theme. Within RMBS, investors were generally constructive, and most focused around extension risk in non-QM, new sources of growth in origination volumes and relative value. Within ABS, the overall tone was slightly more cautious especially for data center ABS, and most discussions focused around digital infrastructure ABS. Within CLOs, the overall tone was neutral; discussions centered around expectations for the growth in future AI-related issuance in the leveraged loan market.

CMBS

Conduit and SASB spreads widened in secondary trading this week as AAAs were 2-3bp wider (and more down the stack). We are constructive on the hotel sector which has seen improving performance in 2026, driven primarily by the high end of the market. Hotel operators remain focused on cash flows, pushing ADRs instead of optimizing occupancy. Recent hotel REIT outperformance suggests that hotel valuations should hold up better in the current rate environment.

CLO

We review sectors of focus such as AI infrastructure, building products, and software. Data center-related loan issuance is at a record high, and we expect $40bn of data center TL issuance next year. Building products will likely see earnings weakness next year amid higher rates, particularly in issuers more exposed to new residential construction. Software valuations have improved, although implied volatility remains elevated.

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Research Analysts

US Securitized Products

Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Rohit Sinha - NSI
Rohit.Sinha@nomura.com
+1 212 298 4905

Robb Calhoun - NSI
robb.calhoun@nomura.com
+1 212 667 9037

Chinmay Kulkarni - NSI
chinmay.kulkarni1@nomura.com
+ 1 212 298 4598

Joseph Gais - NSI
joseph.gais@nomura.com
+1 212 667 2028

Vivek Chauhan - NSI
vivek.chauhan@nomura.com
+ 1 212 667 2290

Shreya Pal - NSI
shreya.pal1@nomura.com
+ 1 212 667 2183

Daivaksh Patel - NSI
daivaksh.patel@nomura.com
+1 212 667 9238

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

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Research Analysts

US Securitized Products

Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Rohit Sinha - NSI
Rohit.Sinha@nomura.com
+1 212 298 4905

Vivek Chauhan - NSI
vivek.chauhan@nomura.com
+ 1 212 667 2290

Shreya Pal - NSI
shreya.pal1@nomura.com
+ 1 212 667 2183

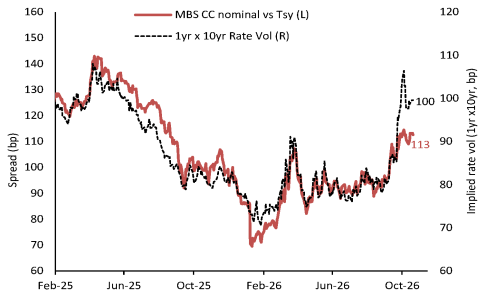
Market Overview

Over the last week, 10-year Treasury yields rallied due to flight-to-safety flows driven by AI related credit concerns. Market pricing for rate hikes through December 2027 fell by 15bp to 65bp currently. Nomura's US Economics team continues to expect a 25bp hike in December, followed by an extended pause through 2027 as they expect inflation to moderate.

Lower coupons underperformed their Treasury hedges: TBA 2.0s-3.5s underperformed their treasury hedges by 5-8 ticks over the past week, while TBA 4.5s-6.0s outperformed their hedges by 2-5 ticks. This week, MBS CC nominal spreads widened by 3bp before tightening by 2bp this morning.

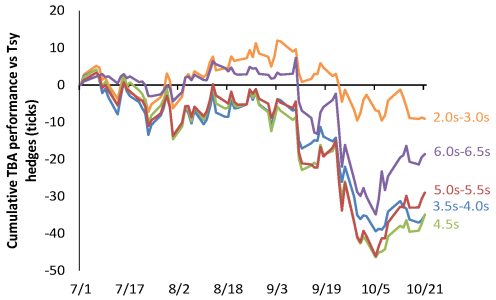
In the near term, MBS supply-demand technicals appear favorable due to a seasonal decline in MBS supply and higher GSE MBS purchases. However, key risks include increased rate/macro volatility which could drive fixed income fund outflows.

Fig. 1: MBS CC nominal spreads, CMO floater spreads vs implied rate volatility



Source: Yield Book, Bloomberg, Nomura

Fig. 2: TBA performance vs Tsy curve hedges since July



Source: Yield Book, Nomura

Truist's securities portfolio repositioning: Truist sold $8.6bn of lower coupon agency MBS in Q3 and redeployed the proceeds into higher-yielding, shorter-duration securities, primarily US Treasuries. In Q4, Truist expects further repositioning in their securities portfolio following the sale of LightStream assets. Truist's management highlighted that *"there could be another $17–18bn of AFS securities that could be actionable … mid-2s yielding agency MBS".*

Overseas holdings of MBS declined by $2bn in August, driven by meaningful declines from China and Japan, bringing YTD net additions to $69bn. Overseas demand has slowed since June due to increased rate volatility and uncertainty around Fed rate hikes. In the near-term, we expect overseas demand for MBS to remain subdued unless rate vol eases significantly.

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Fig. 3: Estimated net additions of MBS by overseas investors

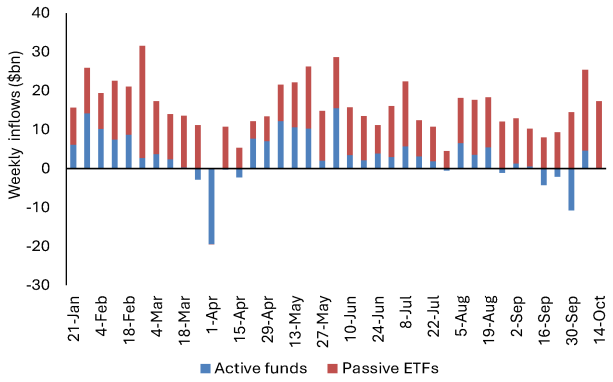
Country	Holdings (August-2026)	Est. net additions 2025	Est. net additions 2026 (Jan-August)
Japan	266	11	-8
Taiwan	181	-8	-1
Canada	169	-8	6
China, Mainland	134	-77	-19
Luxembourg	119	31	25
Cayman Islands	80	10	26
United Kingdom	66	-7	26
Ireland	49	3	7
France	51	19	8
Singapore	42	21	8
Others	245	-19	-9
Total	**1,402**	**-25**	**69**

Source: TIC, Nomura

Active fund MBS overweights increased in September: Large active funds increased their MBS overweights by 60bp; however this was primarily due to a sale of other fixed income assets rather than agency MBS purchases. Outflows from active funds drove $7bn of MBS sales on a net basis in September.

MBS remains attractive vs IG corporates: While agency MBS remains attractive vs IG corporates (excess spread difference of 27bp vs 14bp YTD average), fixed income fund inflows could remain volatile in the near term. If equities sell off significantly, rebalancing activity could drive outflows from fixed income funds, and thus, lower MBS demand from money managers.

Fig. 4: Fixed income fund inflows in 2026



Note: Active fund inflows for the week of 14-Oct are not reported yet
Source: Bloomberg, ICI, Nomura

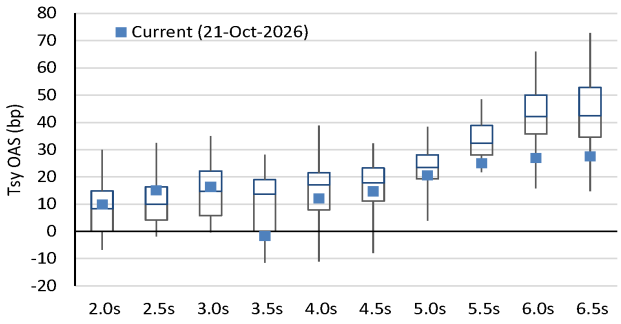
Relative value in 30yr conventionals

- We favor 5.5s–6.0s in the coupon stack, as these are attractively priced vs neighboring coupons and could benefit more if bank/overseas/REIT demand increases
- TBA 6.5s OAS spreads do not appear attractive compared to 5.5s and 6.0s due to higher convexity risk and expectations of increased supply.
- In 5.0s, we prefer specs over TBAs as future issuance will likely include a significant share of buydown loans, which could reprice the deliverable and push spreads wider. Within specs, we prefer 1-2yr seasoned LB over new prod pools.
- We favor lower coupons (2.0s-3.0s) over buydown coupons (3.5s-4.5s) in conventionals.
- Within buydown coupons (3.5s–4.5s), we prefer GNs over conventionals due to

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attractive GN/FN swap prices. Seasoned buydown pools have a 10-15 tick lower price than conventional TBAs despite having similar prepays. Please refer to our prior *article* for a detailed discussion on relative value in 3.5s-4.5s.

Fig. 5: OAS spreads vs historical range



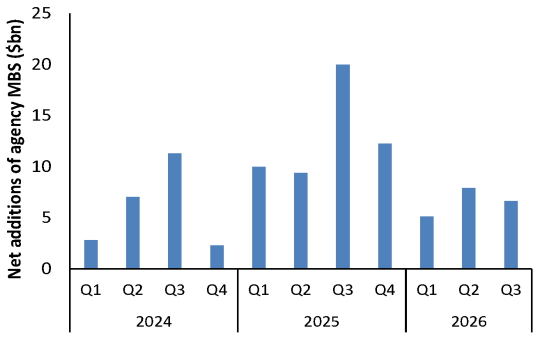
Note: Ranges based on spreads since 2024. Box represents 25th percentile, median and 75th percentile
Source: Yield Book, Nomura

REITs added $7bn agency MBS in Q3

The large mortgage REITs (AGNC, NLY, DX, and ARR) added $7bn net of Agency MBS in Q3, bringing YTD net additions to $20 bn. In Q3, the REITs posted negative economic returns comparable to levels seen in Q3 2023. However, during their Q3 earnings calls, the larger REITs remained optimistic about the agency MBS market due to supportive supply-demand technicals, low prepay risk and attractive levered returns of 20% for new investments at current spread levels.

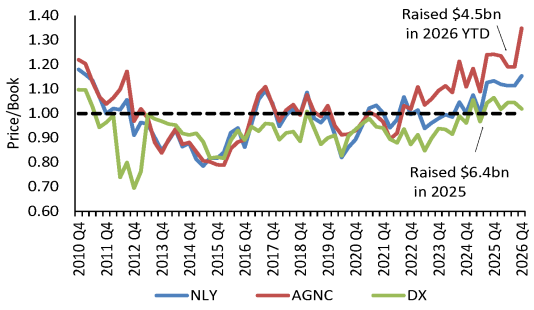
Leverage increased across the REITs due to declines in book value but capital raising activity increased in Q3 due to premium price-to-book ratios. The larger REITs raised $2.1bn in ATM equity in Q3 vs $2.3bn in H1 2026. While premium price-to-book ratios and attractive levered RoEs provide positive technicals for increased REIT demand, elevated rate/spread volatility remains a key headwind in the near term. We expect REIT demand of $8bn in Q4 and $30bn in 2027.

Fig. 6: Net MBS additions by large mortgage REITs



Note: Q3 data includes AGNC, NLY, ARR and DX; Includes PTs and TBAs, excludes agency CMBS
Source: Company data, Nomura

Fig. 7: Price to book ratios remain favorable for capital raising



Source: Bloomberg, Company annual reports, Nomura

Positioning in the coupon stack: AGNC and NLY rotated its exposure from 4.5-5.0 coupon specified pools to 5.5-6.0 coupons in Q3. The larger REITs also mentioned that they will likely maintain a positive duration gap in Q4 due to limited extension possibility in a further rate selloff while retaining price appreciation potential in a rate rally.

REITs hedged with Treasuries in Q3, but are expecting increased hedging with swaps going forward: REITs primarily hedged their exposure using Treasuries during s selloff in Q3, which increased the Treasury ratio in their hedge portfolios. er, they expect a greater share of their future hedges in Q4 to be with swaps.

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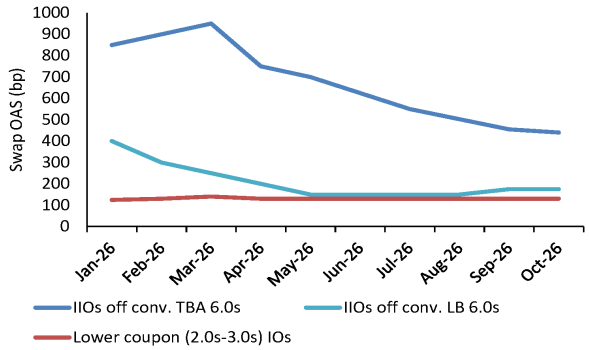
Relative value in CMO derivs: recommend higher strike IIOs

Over the past two months, CMO derivative OAS spreads remained stable despite the widening in the MBS basis and increased pricing for Fed rate hikes. While forward yields for IIOs are lower today, spot yields increased due to a slowdown in expected prepays. Although OAS spreads for IIOs tightened materially earlier in the year, most bonds declined in price due to a flatter yield curve.

Within IIOs, we favor higher-strike IIOs which have very high (28%+) spot yields with relatively less downside risk even if the Fed hikes more than once in the coming year. Additionally, we expect that CMO issuance could decline by 20-30% in the near-term, creating positive technicals for IIO spreads at the margin.

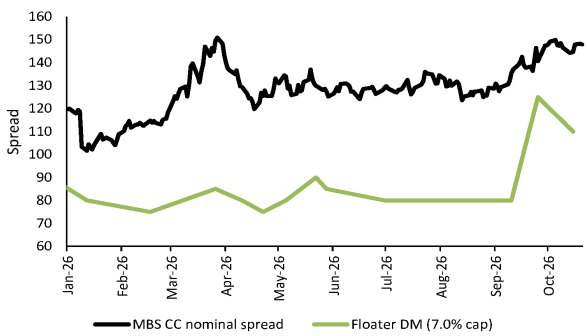
Within IOs, OAS spreads for higher coupon IOs (XS 5.5-6.0%) tightened by 100bp YTD while those for lower coupon IOs remained unchanged at 125bp. Across CMO derivatives, higher coupon IOs have performed the best recently (in price terms) due to their negative durations. We favor higher strike higher coupon IIOs over higher coupon IOs although supply is limited for the former. Lower coupon IOs also do not appear compelling as their durations have turned positive and have limited price appreciation potential in future rate selloffs.

Fig. 8: CMO IIO and IO spreads over time



Note: IIO OAS spreads are for 6% strike, 20-25 wala
Source: Yield Book, Nomura

Fig. 9: MBS CC nominal and CMO floater spreads over time

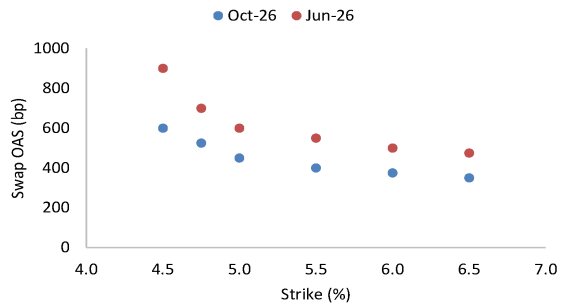


Source: Yield Book, Nomura

Prefer higher 6.0%+ strike IIOs as lower (<=5.0%) strike OAS spreads appear too tight: Currently, IIO OAS spreads across strikes are 125-300bp tighter than they were in June (*Fig. 10*) primarily due to an increase in option cost. In June, very low strike (4.5% strike) IIOs had OAS spreads of 900+bp, compared with 600bp currently. Additionally, the OAS spread differential between lower and higher strike IIOs has narrowed, making lower strike IIOs relatively less attractive.

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Fig. 10: OAS spreads for IIOs off conventional TBA 6.0s



Note: 20-25 wala
Source: Yield Book, Nomura

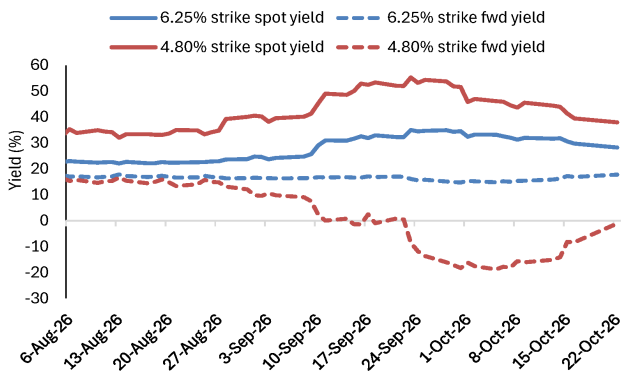
Recently, with the flattening of the yield curve, IIO spot yields increased but forward yields declined meaningfully, especially for lower strike IIOs (*Fig. 11*), which now have negative forward yields.

In terms of Fed rate hike expectations in the coming year, we are more dovish than the market (one hike vs three hikes) as we expect the inflation to cool. However, even in the one hike scenario, yields on lower 4.5-5.0% strike IIOs do not look attractive.

In our view, higher (6.0%+) strike IIOs have a better risk reward than lower strike IIOs, with 28%+ spot yields and relatively less downside risk if the Fed hikes more than once.

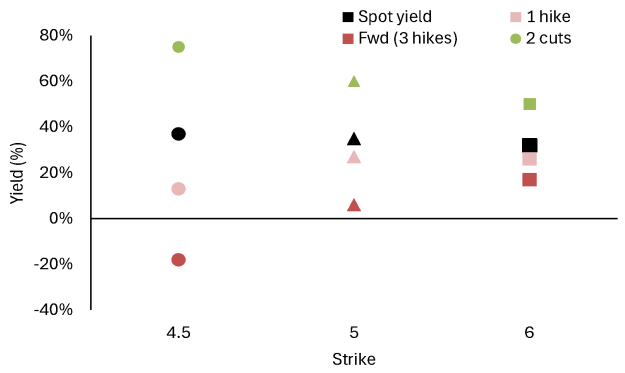
However, lower strike IIOs could appeal to certain investors due to their lower dollar prices (higher leverage), positive convexity and greater price appreciation potential if market pricing for Fed rate hikes declines.

Fig. 11: Forward yields have declined significantly for lower strike IIOs



Note: IIOs off conventional TBA 6.0s, 20-25 wala
Source: Yield Book, Nomura

Fig. 12: Spot and forward yields across strikes



Note: Assuming mortgage rates and prepays are unchanged
Source: Yield Book, Nomura

Strike vs convexity — prefer higher strike over prepay protection: *Fig. 13* shows OAS spreads for higher-coupon IIOs across strike and collateral. Lower-strike IIOs backed by less prepay protected collateral represent the riskiest segment of the market, as they are exposed to both the risk of Fed rate hikes and heightened prepay convexity. In contrast, higher-strike IIOs backed by prepay protected collateral have lower risk in comparison. As a result, OAS spreads for the latter are 300bp tighter than those for the former, although this OAS spread difference was 500bp a few months ago.

We prefer higher-strike IIOs off medium prepay protected collateral such as TBA/FHA 6.0s over lower-strike IIOs off more prepay protected collateral (LB 6.0s) at similar OAS spreads. In our view, the near-term risk of a significant rate rally and a spike in prepay convexity is low. There is a greater risk of underperformance due to future [illegible]es than due to increased prepays in modest rate-rally scenarios. For instance,

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under a 50bp mortgage rate rally scenario, realized yields for higher strike IIOs off FHA/TBA collateral could decline by only 4% while 1 additional hike from current spot levels could reduce realized yields for lower-strike IIOs by 8% (*Fig. 14*).

Fig. 13: OAS spreads across strike and collateral type

	More <----------Prepay protection----------> Less		
	Loan balance	Conv. TBA/FHA	GN Multis
High strike (6%+)	300bp	400/450bp	500bp
Low strike (<=5%)	400bp	500/550bp	600bp

Note: Swap OAS spreads for IIOs off 6.0s, 20-25 wala
Source: Yield Book, Nomura

Fig. 14: Yields across scenarios

	Higher strike, less prepay protected (6% strike GN Multi 6.0s)	Lower strike, more prepay protected (5% strike GN LB 6.0s)
Spot	28%	28%
No hike, 50bp rally in mortgage rates	24%	26%
1 hike	23%	20%
2 hikes	17%	12%

Note: IIOs off 6.0s, 20-25 wala
Source: Yield Book, Nomura

Higher coupon IIOs vs IOs: Higher coupon IOs (XS 5.5-6.0%) have significantly more negative duration compared to IIOs and can serve as a hedge against duration risk for TBAs while earning higher base case yields. However, supply is limited in higher coupon IOs.

In our view, higher strike higher coupon IIOs are more compelling than higher coupon IOs, as the base case yields for the former are more compelling today than they have been in the past few months (28%+ for IIOs vs 10% for IOs). The key risk is that IIOs could underperform IOs if the Fed hikes rates by more than 2 times.

Lower coupon (2.0s–3.0s) IOs: Investor demand for this segment has remained stable over the past two years due to their consistent carry profiles and limited prepay risk. However, OAS spreads are currently at the tighter end of their 2-year range with base case yields at only 6%. Additionally, after the recent selloff, lower coupon IOs extended significantly and their durations turned positive. Lower coupon IOs are not very compelling due to limited price appreciation potential from future rate selloffs and/or from OAS spread tightening.

Fig. 15: Swap OAS for IOs: Current vs. June

	Swap OAS (bp)	
IOs backed by	**Jun-26**	**Oct-26**
Conventional Generic 6.0s	275	225
Conventional LB 6.0s	175	175
GN Multi 6.0s	450	375
Conventional Generic 2.0s-3.0s	125	125
Conventional NY 2.0s-3.0s	100	100

Source: Yield Book, Nomura

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Key prepay themes in discount G2 Customs

In G2 Customs, the characteristics that drove worse ITM prepay convexity over the past three years (higher cashouts, VA shares and buyouts) now provide better extension protection when out-of-the-money. Across G2 Customs, VACO pools offer the best voluntary extension protection, driven by greater equity re-extraction with seasoning. They trade back of TBA and earn a carry advantage over the roll. However, their payups may not appreciate due to non-deliverability and idiosyncratic prepay risks due to smaller pool sizes.

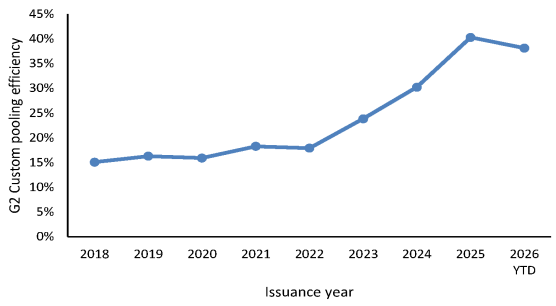
Other Ginnie stories with better extension protection include low LBs and ETs: the former benefits from higher cashouts and turnover, while the latter benefits from higher buyouts vs G2 Multis. However, we expect ET involuntary prepays to decline over the next year as the full effect of the new loss mitigation programs comes into effect.

In Ginnies, higher LB pools do not provide any additional extension protection compared to G2 Multis, due to a significantly higher FHA share. Across servicers, we prefer Rocket-serviced pools due to higher cashout activity.

G2 Custom issuance has plateaued in 2026

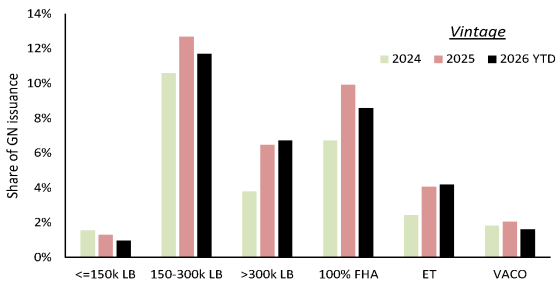
Ginnie Custom pooling efficiency has declined slightly in 2026, with relatively less issuance in <300k LB and 100% FHA pools than last year. Since 2022, most of the increase in Custom issuance was driven by 150k+ LBs, 100% FHA and ET pools, with over 60% being locked into CMOs. We expect CMO demand to continue driving Custom issuance from here. Absent an increase in CMO issuance, we do not expect pooling efficiency to increase materially from current levels, as many smaller servicers may prefer to deliver loans into Multi pools rather than create smaller non-deliverable single-issuer pools.

Fig. 16: G2 Custom pooling has declined in 2026



Source: Ginnie Mae, eMBS, Nomura

Fig. 17: <300k LB and 100% FHA pooling has declined in 2026



Source: Ginnie Mae, eMBS, Nomura

Prepay theme 1: VACO, low LB, and ET pools provide the best extension protection

The collateral characteristics that drove faster prepays when in-the-money are the same ones which provide better extension protection when out-of-the-money, driving faster OTM prepays for VACO, lower LB and ET pools.

VACO pools exhibit the fastest out-of-the-money voluntary prepays across all Ginnie and conventional cohorts. VACO prepays are driven by VA borrowers' ability to extract equity up to 100 LTV, a higher Rocket share, and higher VA turnover activity. VACO prepays also increase the most with seasoning. However, there may be idiosyncratic risks in VACO pools due to smaller pool sizes.

Lower LB pools also prepay significantly faster than G2 Multis driven by higher cashouts (30%) and Rocket share (14%), leading to greater cashout activity. They also exhibit faster prepays compared to higher LB pools.

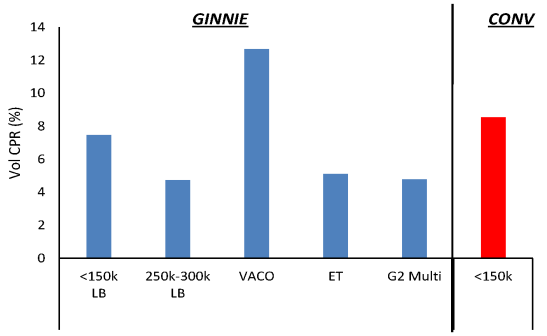
-of-the-money voluntary prepays are comparable to high LB pools, but have antly higher involuntary prepays. However, ET buyouts have already declined from

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their 2025 peak as repeat modifications have now been restricted, and the new VA loss mitigation program, which limits re-modification more tightly than FHA, should drive ET buyouts even lower over the next year. ET discount pools should therefore be less attractive now than they have been historically.

Fig. 18: Voluntary prepays across cohorts (100bp OTM)

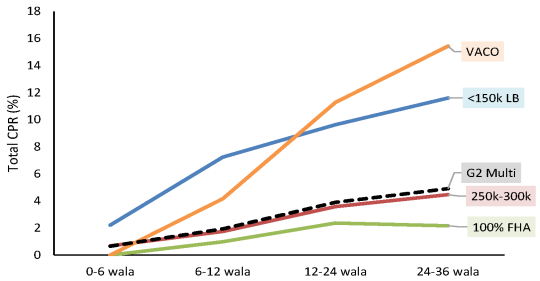
12-24 WALA, 2024-26 factors



Source: Fannie Mae, Ginnie Mae, eMBS, Nomura

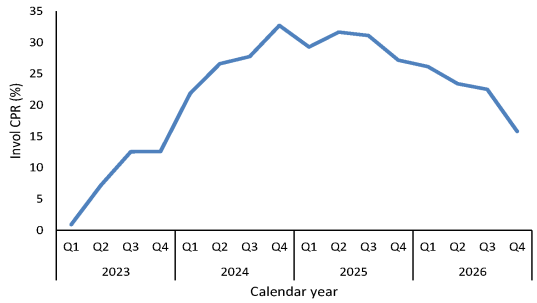
Fig. 19: WALA ramps across Ginnie cohorts (100bp OTM)

2026 factors



Source: Ginnie Mae, eMBS, Nomura

Fig. 20: ET involuntary prepays have declined in 2026



Source: Ginnie Mae, eMBS, Nomura

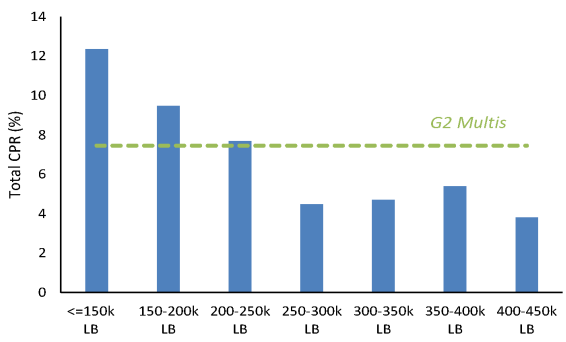
Prepay theme 2: 250k+ LB pools do not provide extension protection vs G2 Multis due to higher FHA share

In Ginnies, higher LBs (>250k) exhibit weaker extension protection than G2 Multis. These higher LB pools have less than 150k ALS difference vs Multi pools, but a significantly higher FHA share (*Fig. 23*). Historically, FHA loans have exhibited slower cashout and turnover prepays than VA loans.

The prepay difference between lower and higher LB cohorts also increases sharply with seasoning, for both FHA and VA loans (*Fig. 19*).

Fig. 21: Ginnie OTM prepays for LBs vs Multis

50bp out-of-the-money, 12-24 WALA, 2026 factors



Source: Ginnie Mae, eMBS, Nomura

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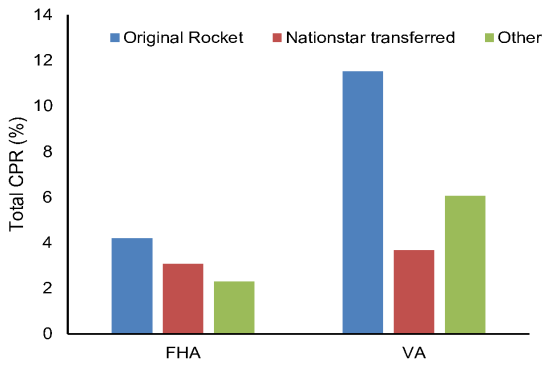
Prepays theme 3: Rocket serviced loans prepay faster than other servicers; Prepays for Nationstar transferred loans have not converged to Rocket

Rocket-serviced loans prepay significantly faster than those of other servicers, both in and out-of-the-money. Rocket loans have higher cashouts and a higher share of <80 LTV loans, characteristics that support greater equity re-extraction as the pools season (*Fig. 24*). However, Nationstar transferred loans continue to prepay slower than original Rocket loans.

Rocket payups are tracking lower than other servicers, and appear cheap in discount coupons.

Fig. 22: Nationstar transferred loans continue to prepay slower than original Rocket loans

100bp out-of-the-money, 12-24 WALA, >=300k LB, 2026 factors



Source: Ginnie Mae, eMBS, Nomura

Appendix

Fig. 23 - 24 show collateral characteristics across G2 Customs, Multis and across servicers.

Fig. 23: Collateral characteristics across Ginnie cohorts

2026 vintage

Cohort	% Cashout refi	% Non-cashout refi	% <80 LTV	% FHA	ALS (k)	% Rocket
<=150k LB	31%	9%	30%	88%	116	14%
250-300k LB	11%	16%	9%	89%	265	1%
100% FHA	6%	17%	5%	100%	442	1%
RHS	0%	4%	1%	0%	212	2%
ET	0%	0%	11%	52%	245	7%
VACO	100%	0%	0%	0%	399	15%
G2 Multi	10%	28%	11%	37%	390	11%

Source: Ginnie Mae, eMBS, Nomura

Fig. 24: Collateral characteristics across servicers

2026 vintage

Servicer	% Cashout refi	% Non-cashout refi	% <80 LTV	% FHA	ALS (k)	Issuance share in 2026
Rocket	26%	21%	17%	57%	326	9%
Freedom	8%	46%	14%	47%	365	8%
UWM	15%	38%	12%	43%	375	11%
Others	10%	16%	8%	55%	331	72%

Source: Ginnie Mae, eMBS, Nomura

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Mortgage Credit

Research Analysts

US Securitized Products

Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Rohit Sinha - NSI
Rohit.Sinha@nomura.com
+1 212 298 4905

Chinmay Kulkarni - NSI
chinmay.kulkarni1@nomura.com
+ 1 212 298 4598

Daivaksh Patel - NSI
daivaksh.patel@nomura.com
+1 212 667 9238

Over the last week, 10-year Treasury yields rallied due to potential flight-to-safety flows as concerns about AI spending weighed on equities. Market pricing for rate hikes through December 2027 fell by 15bp to 65bp currently. Nomura's US Economics team continues to *expect* a 25bp hike in December, followed by an extended pause through 2027 as they expect inflation to moderate.

In the primary market, nine deals totaling $3.9bn priced over the past week, bringing October issuance to $12bn and YTD issuance to $204bn. Compared to the same period last year, gross issuance is tracking $44bn higher, largely driven by the increase in non-QM (+$33bn) and seconds/HELOC (+$12bn) issuance.

In secondary, spreads were unchanged across all sectors and trading volumes were low due to the ABS East Conference in Miami. The non-QM AAA/agency MBS nominal spread basis is at 42bp currently, wider than the long term average of 26bp. In the near term, this spread basis could tighten if rate vol and mortgage rates decline. However, if vol remains elevated and mortgage rates back up, this spread basis could widen due to extension risk concerns for loans in the origination pipeline.

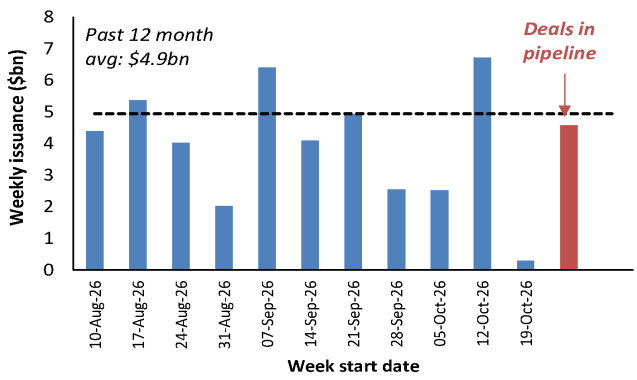
We discuss our views on *ABS East* in more detail in a later section.

Fig. 25: RMBS gross issuance across sectors ($bn)

Sector	2025	2026 YTD	Projection 2026
Non-QM	80	96	110
Jumbo prime	34	26	36
Seconds/HELOCs	29	33	41
Benchmark CRT	7	6	8
NPL/RPL	23	15	20
SFR	6	5	6
RTL	6	4	6
Prime investor	9	12	15
Other sectors	8	7	10
Total	**204**	**204**	**252**

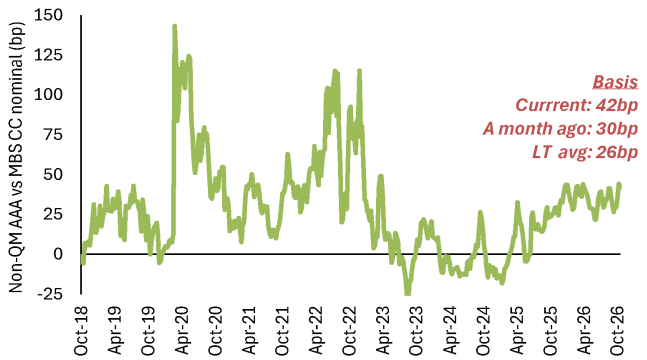
Source: Nomura estimates

Fig. 26: RMBS weekly issuance ($bn)



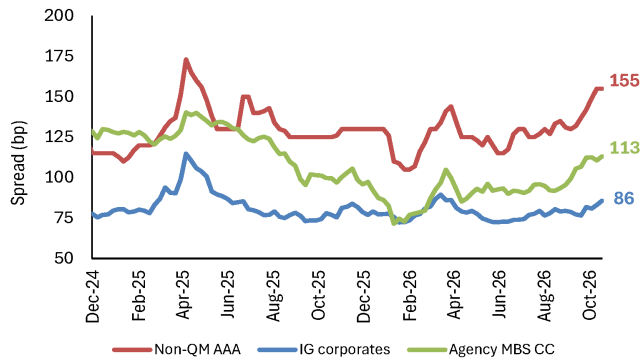
Source: Bloomberg, Nomura

Fig. 27: Nominal spread basis of non-QM AAA vs Agency MBS



Source: Bloomberg, Nomura

Fig. 28: Spreads across sectors



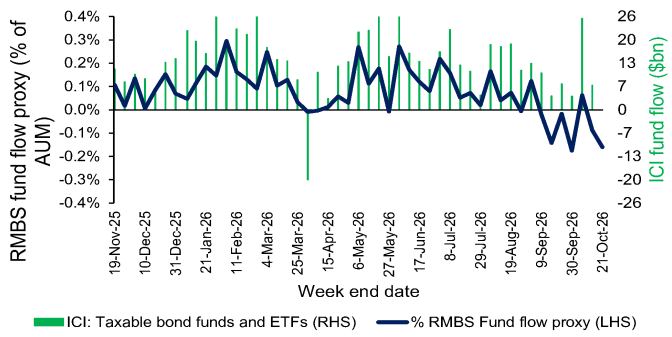
Source: Bloomberg, Yield Book, Nomura

Fund flows: RMBS-focused bond funds saw outflows of 0.16% for this week, driven by both outflows in short duration and total return funds. In addition, for the week ending 14 October, aggregate inflows totaled $7bn in taxable bond funds and ETFs.

Dealer holdings: Dealer holdings increased by $405mn for the week ending 7 October, YTD dealer holdings have increased by $2.2bn.

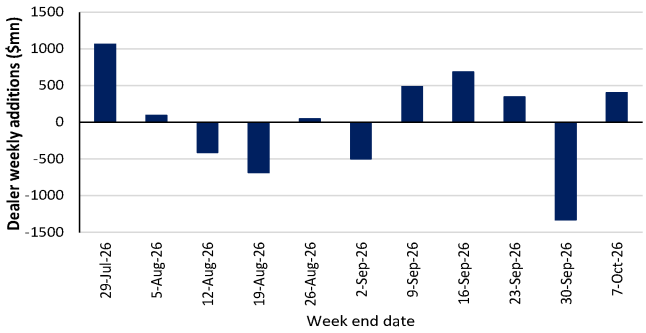
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Fig. 29: Weekly RMBS and taxable bond fund/ETF fund flows



Source: Bloomberg, ICI, Nomura

Fig. 30: Fed primary dealer additions



Source: NY Fed, Nomura

HELOCs – an attractive investment opportunity but scale remains limited

HELOC issuance has increased rapidly since 2024 as cashout refinancing has remained uneconomical for homeowners in the current rate environment. Issuance reached $12bn YTD, and we expect full-year issuance to total $14bn in 2026 and $17bn in 2027 .

HELOC issuance volumes could expand significantly over the medium term if emerging digital HELOC platforms successfully replicate FIGURE's business model. Non-bank lenders often market their products as digital HELOCs, offering homeowners a quick way to extract home equity, often funding within a week. We could see increasing investment in digital HELOC platforms, given the substantial addressable market for home equity products.

Aggregate HELOC prepays remain elevated and have exhibited low sensitivity to changes in mortgage rates; OTM prepays have averaged 25CPR. The credit performance of HELOCs remain robust; delinquencies have tracked slightly higher than CES but meaningfully lower than non-QM. However, IG-rated bonds are risk remote due to significant embedded homeowner equity and structural protections such as excess spread.

HELOC securitizations have greater collateral dispersion than CES deals, featuring a mix of first and second liens as well as fixed and floating-rate loans. However, most HELOC types have continued to prepay rapidly and have significant embedded equity.

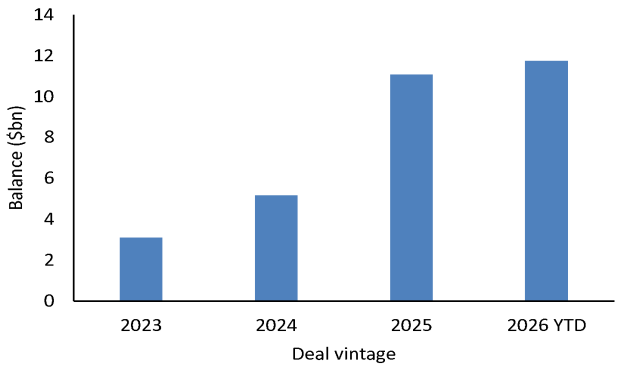
Over the past year, the spread basis between HELOC and non-QM have largely remained unchanged. However, HELOC AAA spreads have tightened in recent weeks as investors focus on extension protection. Despite the spread tightening we continue to prefer HELOC AAAs over non-QM AAAs in the current environment for their fasterOTM prepays.

However, investor participation could be limited unless the sector becomes more scalable or a greater share of deals are rated by the major three rating agencies. Currently, deals issued by GSMBS and OBX lack ratings from the major rating agencies.

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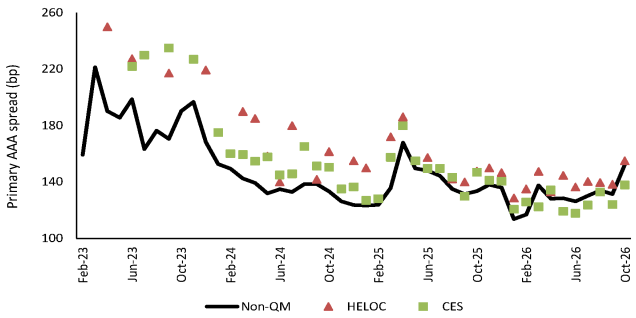
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Fig. 31: HELOC gross issuance by vintage ($bn)



Source: Bloomberg, Nomura

Fig. 32: CES vs non-QM spreads over time



Source: Bloomberg, Nomura

Fig. 33: Recent initiatives in the digital HELOC sector

Company / partnership	Announcement & key details
Button Finance	Raised $5m in Series A funding led by Hildene to expand its home-equity platform
Aven	Raised $110m in Series E funding at a $2.2bn valuation for its automated home-equity platform
Finance of America / Better	Adopted Better's AI home-equity platform, to enter HELOCs.
SoFi	Launched a fully digital, end-to-end HELOC experience within the SoFi platform, expanding members' access to home equity.
Better / Stripe	Announced a prepaid debit card allowing customers to spend funds drawn from a Better HELOC.
Figure / Sierra	Introduced voice and SMS AI agents to re-engage stalled home-equity applicants and help complete applications.
Commonwealth CU / Upstart	Expanded an existing Upstart partnership into home-equity lending through adoption of its HELOC platform.

Source: Company website, Nomura

Dispersion in HELOC underwriting

In aggregate, underwriting guidelines for HELOCs have remained tight with credit scores averaging 745 and combined LTVs averaging 62%. However, there is a mix of HELOC products (first vs second lien, fixed vs floating) and underwriting guidelines could vary across lenders.

Some lenders require a higher utilization rate at origination. Additionally, the DTI calculation is inconsistent across lenders as some lenders include household income instead of borrower(s) income to calculate DTI.

Figure remains the most prolific issuer of HELOCs and has expanded its credit box since 2025 to issue HELOCs under four different tickers.

- HE: Primarily second lien fixed rate loans.
- HF: 100% floating rate loans.
- FL: First lien fixed-rate HELOCs.
- EXP: Expanded credit; lower FICOs and higher GWACs.

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Fig. 34: Collateral characteristics across a sample of FIGRE deals issued in 2026

	HE	HF	FL	EXP
FICO	757	762	752	674
CLTV	65	63	46	59
GWAC	8.9	8.6	7.6	10.9
ALS ($k)	84	81	108	63
FICO < 700	16%	14%	22%	78%
CLTV > 80%	16%	13%	3%	5%
ALS > $150k	38%	45%	52%	12%
First lien %	15%	100%	9%	6%
Second lien %	83%	0%	87%	90%
Fixed %	91%	100%	94%	0%
Floating %	9%	0%	6%	100%

Source: Intex, Nomura

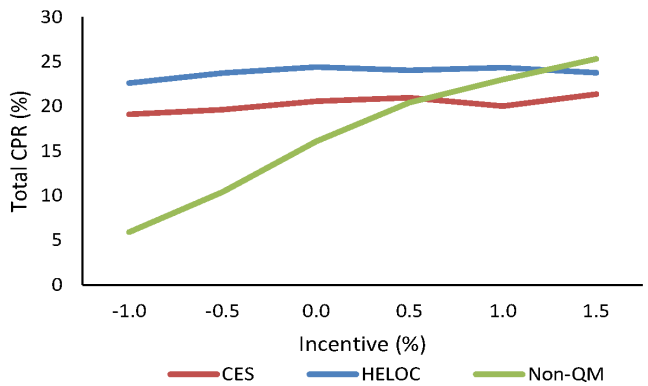
HELOC prepays: high OTM prepays and muted rate sensitivity

Aggregate HELOC prepays have averaged 25CPR and have exhibited limited sensitivity to changes in mortgage rates as a typicalborrower is unlikely to see significant payment savings due to the low loan size and high fixed costs. Additionally, HELOCs prepay faster than CES loans, primarily due to high curtailments.

While HELOCs typically feature a 5-year draw period, cashflow disruption risk to investors during this period is muted as aggregate HELOC prepays are substantially higher compared to draw requests from borrowers. Additionally, HELOCs in securitized deals are typically 95% drawn at issuance, limiting therisk of large future draws. We have observed that draw rates sharply decline with loan seasoning.

Fig. 35: Prepayment s-curves

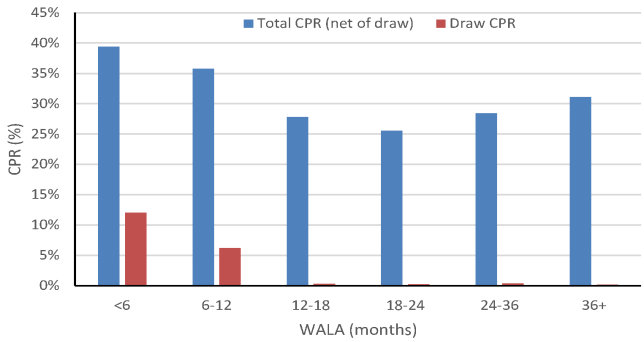
12-24 WALA, past 12 months



Source: CoreLogic, Freddie Mac, Intex, Nomura

Fig. 36: HELOC prepays by WALA

FIGRE only, 2023-2026 loan vintage. Since Jan 2023

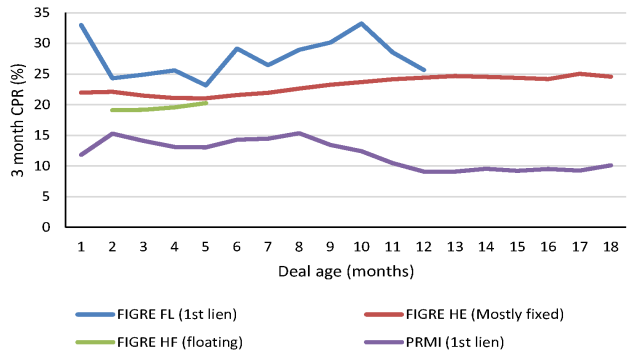


Source: Intex, Nomura

Prepays remain elevated across most HELOC products: In recent years, a variety of HELOC products have been securitized as discussed earlier. However, prepays across most HELOC products remain elevated as borrowers likely use HELOCs for short term cash needs. PRMI deals prepay slower than most HELOCs as they are first lien, very large loan size ($469k) and have longer draw periods (25+ years).

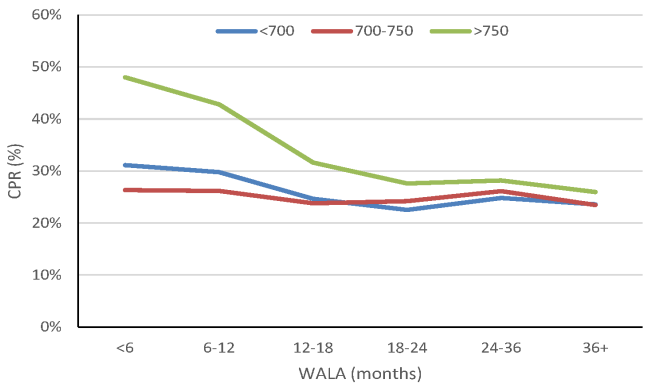
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Fig. 37: Aggregate prepays by shelf



Source: Intex, Nomura

Fig. 38: Aggregate prepays by FICO



Source: Intex, Nomura

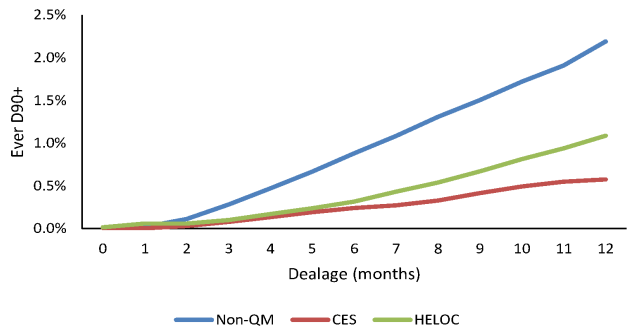
Recent credit trends

The aggregate ever D90+ rate for HELOC is tracking higher than CES but significantly lower than non-QM. Across shelves, FIGRE continues to have lower delinquencies vs other shelves, despite similar credit characteristics and an automated underwriting process.

Credit score and CLTV are the key delinquency drivers for HELOCs. Delinquencies are largely comparable for first and second liens for borrowers with a 700+ initial FICO. However, low fico (<700) first lien HELOCs have underperformed second lien HELOCs primarily driven by loans in the GRADE shelf.

Fig. 39: Ever D90+ rates across sectors

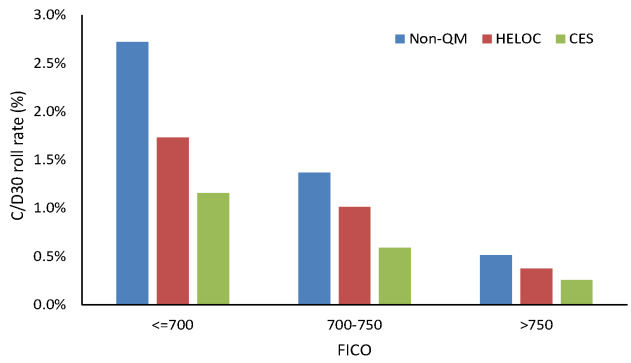
2025-26 vintage



Source: CoreLogic, Nomura

Fig. 40: C/D30 roll rates by FICO across sectors

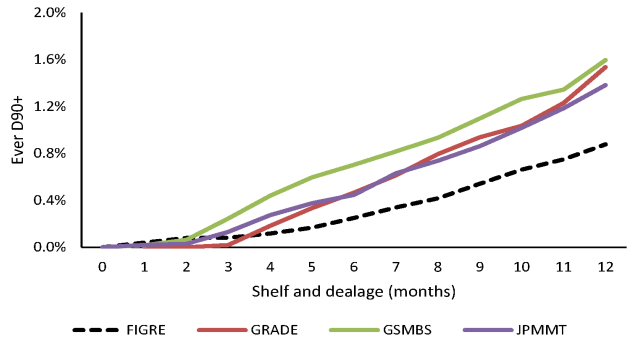
60-80 60-80 LTV loans, past 12 months



Source: CoreLogic, Nomura

Fig. 41: Ever D90+ rates by shelf

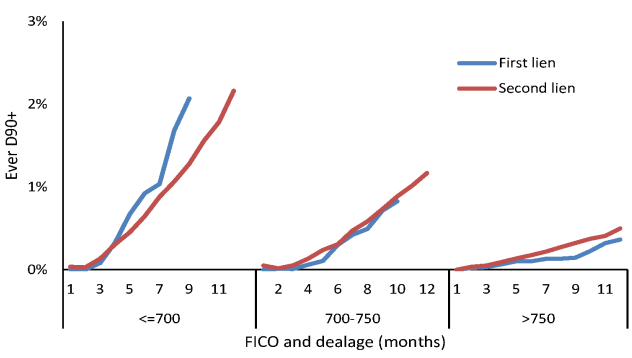
2024-25 vintage



Source: Intex, Nomura

Fig. 42: Ever 90+ rates by lien and FICO

2024-25 vintage

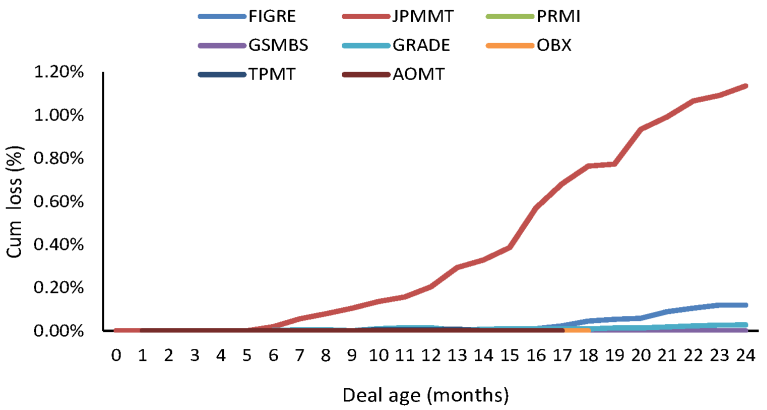


Source: Intex, Nomura

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Collateral loss: Seriously delinquent CES/HELOC loans are typically charged off at or before reaching D180, though policies vary by issuer and servicer. For example, while JPMMT HELOC deals typically charge off seriously delinquent loans after 4-6 missed payments, FIGRE deals only charge off D180+ loans if it is determined that no significant recovery is possible via foreclosure. As a result of earlier charge offs, JPMMT deals have higher initial collateral losses to date, although some of their losses could be reversed from subsequent recoveries.

Fig. 43: HELOC collateral loss by shelf



Source: Intex, Nomura

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ABS East recap: RMBS/ABS/CLO

Research Analysts

US Securitized Products

Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Rohit Sinha - NSI
Rohit.Sinha@nomura.com
+1 212 298 4905

This section is a reprint of the special topics report published on 21 Oct 2026 .

The recent ABS East conference was well attended with over 6000 participants, although the focus of the conference shifted towards ABS/digital infrastructure and RMBS this year. The overall tone was slightly constructive but attendees expressed increased caution regarding macro risks including escalating geopolitical tensions, persistent inflation and potential repricing of the AI buildout theme. As spreads have widened in recent months, investors are reassessing investment opportunities in light of these headwinds, although fund flows have remained positive and investors generally had capital to deploy.

Within RMBS, investors were most focused around extension risk and callability in non-QM, views on slower prepays, structural shifts, new sources of growth in origination volumes, and relative value. Investors were generally constructive on mortgage credit performance. For the housing market, although higher rates are likely to dampen near-term price appreciation and overall transaction activity, very few concerns were expressed about a housing downturn due to the strength of the economy and labor markets as well as a lack of a catalyst for forced selling.

Within ABS, the overall tone was slightly more cautious especially for data center ABS, and most discussions focused around digital infrastructure ABS.

Within data center and fiber ABS, issuance increased meaningfully over the past year driven by increased consumer broadband adoption and AI infrastructure demand, although subordinate spreads have recently come under some pressure. Conference participants discussed the growth outlook and potential risks, including overbuilding and competition from large telecom offering bundled wireless and broadband services at discounted rates.

For data center ABS, concerns were expressed about the lack of standardization in structures, uncertainty around fundamentals, and the potential for meaningful future supply. Investors were also focused on evaluating scenario risk after existing contracts. For Fiber ABS, spreads widened out in tandem with high yield spreads, but investors were more comfortable on fundamentals.

Within subprime autos, spreads have widened slightly recently, and lenders have started to become more cautious recently in light of deteriorating performance, but the overall tone wasn't overly concerning.

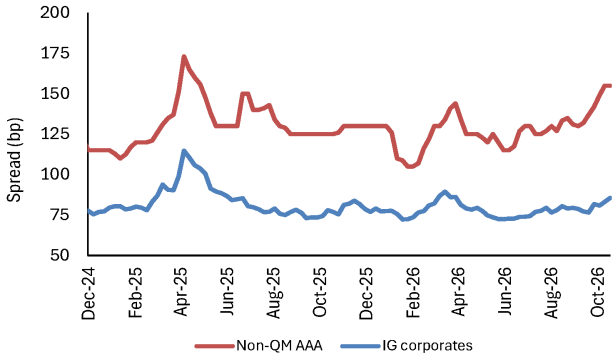
Within CLOs, the overall tone was neutral; discussions centered around expectations for the growth in future AI-related issuance in the leveraged loan market; there was a slight improvement in tone for equity investors as high quality loans are now trading at a modest discount.
We discuss some of these themes in more detail in the following section

Key discussion topics within RMBS

Non-QM: Extension risk, slower prepays and differences in callability across issuers were the most frequently discussed topics. Investors expressed concern that low excess spread and coupon cap shortfall risk could continue to drive spread widening in the primary market (especially for the estimated $30bn of lower WAC collateral that is yet to be securitized), and debated whether insurance demand for loans could absorb this supply. Other discussion topics included the growth outlook of non-QM, particularly as agency-focused lenders expand their non-QM operations. There were some concerns around loosening of the underwriting box due to increased lender competition and credit performance of low FICO cashout loans.

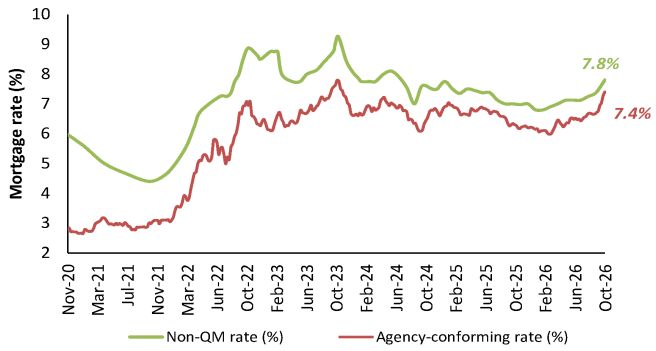
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Fig. 44: Historical spreads



Source: Bloomberg, Nomura

Fig. 45: Non-QM and conforming mortgage rates



Source: Freddie Mac, Nomura

CES/HELOC: The sector has outperformed non-QM recently as high OTM prepays and excess spread limits extension risk. Participants debated the growth trajectory, loss expectations, and the impact of an increasing share of 30-yr CES loans. There were also discussions around the differences in the liquidation policies across HELOC shelves.

Supply at higher rates: Investors also discussed supply projections at higher rates and whether the non-QM/conforming rate spread could remain at 40bp, which is historically tight. We expect origination volumes to decline 20% for non-QM and 30% for jumbo prime in 2027 at current rate levels, with downside risk if non-QM rates exceed 8%. In contrast, second lien origination volumes could increase by 20% in 2027 as cashout refinancing becomes incrementally more uneconomical at higher rates.

Higher rates and lower origination volumes should impact RMBS issuance volumes beginning in early 2027 due to long securitization lags.

Our views around relative value: We expect the Fed to pause after a 25bp rate hike in December, although risks remain skewed to further tightening following the upside surprise in core CPI. We expect -1% HPA in 2027 if mortgage rates remain at 7.3%. Within RMBS, our key relative value recommendations include the following:

- Since early September, non-QM AAAs have underperformed agency MBS by 9bp due to renewed concerns around extension risk. In the near term, this trend could continue due to limited excess spread availability for pools in the securitization pipeline. We estimate that $30bn of non-QM loans originated with 7-7.5% GWAC are in the securitization pipeline.
- Within new issue RMBS, we prefer CES and HELOC over non-QM due to their limited extension risk profile (high OTM prepays and meaningful excess spread).
- Within non-QM, we prefer the 2024 vintage AAAs which could benefit from delayed deal redemptions and the 2025 vintage which could see a higher total return if rates rally. Within the 2025 vintage cohort, we prefer AAAs with the highest prepay upside (full doc or seasoned hybrid ARMs). Additionally, if a deal breaches the delinquency trigger, AAA bonds could benefit as the principal payment waterfall changes from pro-rata to full sequential. Please *refer* to our recent article for more details.
- Within non-IG, we prefer CES for robust credit performance and RTLs for their structural/extension protection.

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Fig. 46: Relative value in non-QM AAAs

Cohort	GWAC (%)	Coupon (%)	Spread (bp)		Price range	Comments
			Last week (8 Oct)	Current (15 Oct)		
2024	8.5	6.2	110 (ASAP)	110 (ASAP)	100 to 100.3	Minimal extension risk, modest upside from delayed calls
2025	7.8	5.3	125 (15CPR, 4 year call)	125 (15CPR, 4 year call)	97	Medium extension risk, prepay upside if rates rally
Early 2026	7.3	4.6	120 (9CPR, 4 year call) or 80 (9CPR, no call)	150 (10CPR, 4 year call) or 80 (9CPR, no call)	96	High extension risk, greatest upside if rates rally significantly from revised call asssumption
New issue	7.0	6.3	140-150	155-160	Par	Medium extension risk, low XS, prefer FCFs

Note: Spreads as of 15 October 2026
Source: Nomura

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CMBS

Market update

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US Securitized Products

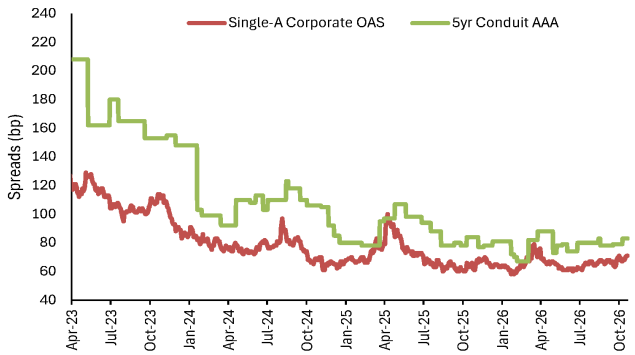
Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Robb Calhoun - NSI
robb.calhoun@nomura.com
+1 212 667 9037

Chinmay Kulkarni - NSI
chinmay.kulkarni1@nomura.com
+ 1 212 298 4598

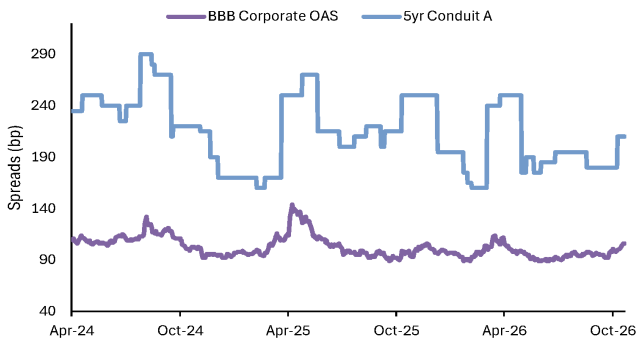
For a second week in a row, no SASB or conduit deals priced. Spreads in secondary trading widened this week as conduit LCF AAAs were 2-3bp wider and further down the stack wider by 5-10bp, with similar trends in SASB.
2026 YTD private label CMBS issuance stands at $144 billion, up 11% from the same period in 2025. Conduit issuance ($23 billion) is 16% and 21% below 2025 and 2024 issuance, respectively. Issuance in 2026 has largely been driven by CRE CLO and SASB deal volumes, but those markets have also slowed to a stop in recent weeks.

Fig. 47: Conduit 5yr primary AAA vs Single A Corp OAS



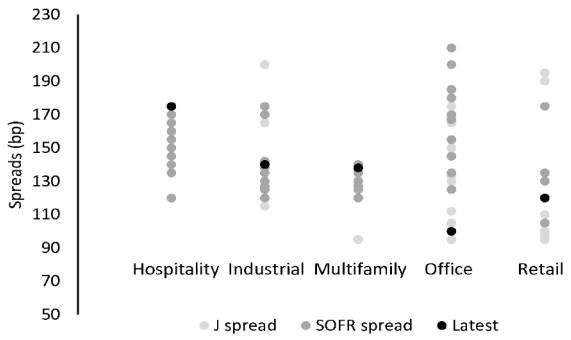
Source: Bloomberg, Nomura

Fig. 48: Conduit 5yr primary A vs BBB Corp OAS



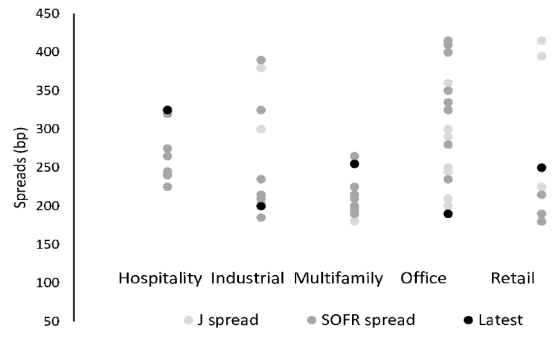
Source: Bloomberg, Nomura

Fig. 49: SASB primary AAA



Source: Bloomberg, Nomura

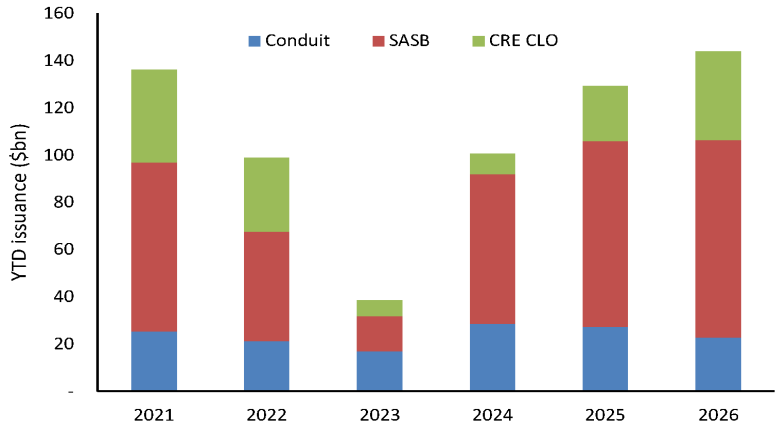
Fig. 50: SASB primary BBB



Source: Bloomberg, Nomura

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Fig. 51: CMBS YTD issuance



Note: Tracking issuance through current week of October each year
Source: Trepp, Bloomberg, Nomura

Hotel Sector Update – Finding The Suite Spot

Overview

After several sluggish years, 2026 has been a good year for hotel sector performance.

- **Occupancy has bounced back in 2026** after declining for much of 2025. The drivers of future occupancy gains are somewhat mixed:
  - Business travel is improving as evidenced by rising midweek occupancy, and leisure travel has also been a bright spot.
  - Group bookings remain weak as businesses are hesitant to spend on large gatherings like team meetings and conferences.
  - International travel into the US has been declining and remains below pre-COVID levels while outbound travel of US citizens to other countries continues to rise.
- In response to rising costs, hotel operators are choosing to focus on maximizing cash flows by raising average daily hotel rates rather than focusing on full occupancy. **This strategy of raising ADRs works best at the high-end of the market as well as for properties focused on transient business and leisure travelers**. We find that RevPAR gains have been strongest for luxury and upper upscale hotels, especially in resorts and properties located downtown in office-heavy markets.
- **These trends also show up in our market level analysis where we analyze RevPAR growth and momentum across major hotel metros**. We find that markets tier into:
  - **Lagging**: Markets where RevPAR growth since 2019 has lagged the national average and slower recent growth feature some struggling office markets, a few oversupplied markets…and Las Vegas.
  - **Recovering**: San Francisco and San Jose highlight this group of metros where growth since 2019 has lagged, but recent RevPAR performance suggests that ground is being made up quickly.
  - **Growth**: Strong office markets benefitting from gains in business travel and leisure markets have shown very strong RevPAR growth since 2019 and continued year-over-year growth in 2026.
- Recent hotel REIT market performance suggests that **hotel valuations should hold**

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up better than other property types in the current interest rate environment. This is due to wider cap rate spreads to Treasuries than other sectors, as well as the fact that hotels are more economically sensitive than rate sensitive.

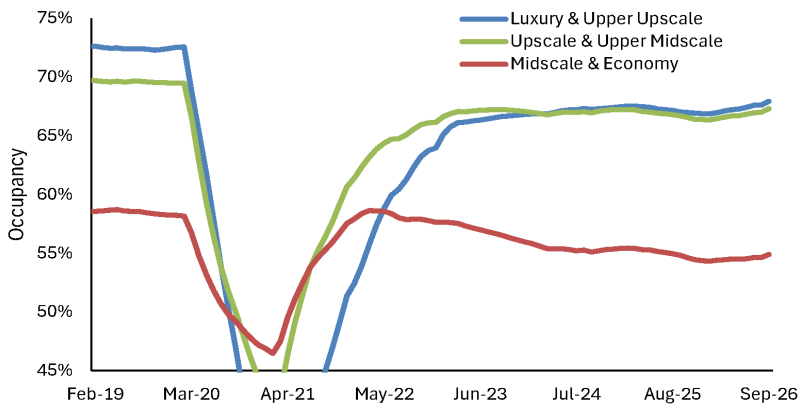
- **Construction activity remains muted and will not be a risk to hotel performance going forward**. The high number of hotel projects in the "final planning" stage does not set off alarm bells as these projects tend to be perpetually rolled forward.

High End Hotels Lead the Occupancy Rebound in 2026

The hotel sector has the highest sensitivity to economic growth and responds the quickest to changing conditions on the ground. This was certainly true during the pandemic where national hotel occupancy dropped to just 24% by April 2020 and rebounded alongside relaxing restrictions. The initial V-shaped recovery through 2023 was followed by several years of stagnant occupancy.

However, 2026 has seen improving performance. Occupancy gains have been driven largely by the high end of the hotel market, luxury and upper upscale, while the lower end of the market has lagged (*Fig. 52*).

Fig. 52: 12m rolling national hotel occupancy



Source: CoStar, Nomura

The drivers for occupancy going forward are somewhat mixed.

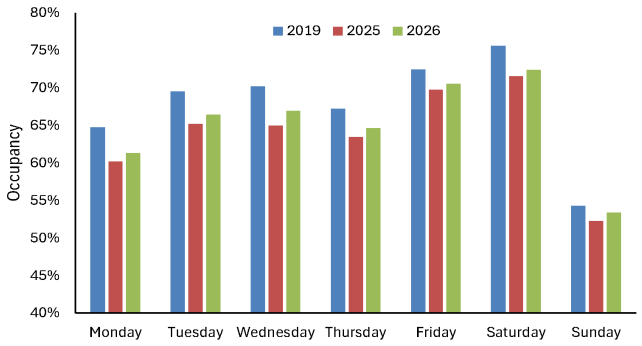
The pickup in occupancy has been supported by improvements in mid-week occupancy, indicating a pickup in business travel (*Fig. 53*). Wednesday hotel occupancy remains well below 2019 levels (-3.2%), but it is also recovering the quickest year-over-year (+2.0% in 2026 from 2025). **The outlook for continued business travel recovery is positive**. According to the Deloitte Corporate Travel Study released in August, 85% of travel managers surveyed report that their budgets expanded in 2026. This is up from 74% in 2025, and the number of managers reporting shrinking budgets fell to just 3% from 10% in 2025.

Sluggish international travel to the US is weighing on hotel occupancy. Inbound tourist travel from overseas, as well as from Canada and Mexico, remain well below 2019 highs (*Fig. 54*). The V-shaped recovery underway stalled in 2025 and has since declined. Exacerbating the headwinds for hotel demand, more US travelers are leaving the country than in 2019 (and more travelers are leaving than are coming in).

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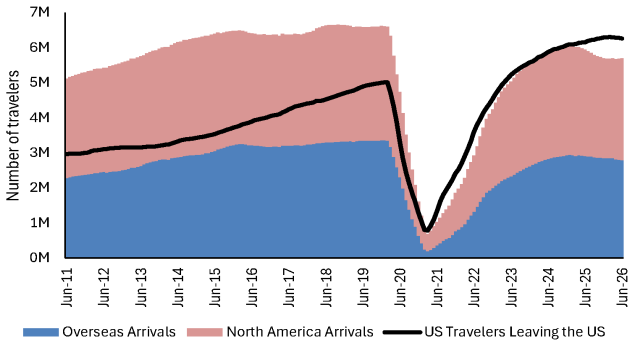
Fig. 53: Average occpancy by day of the week



Source: CoStar, Nomura

Fig. 54: US tourist traffic

12mo average monthly inbound/outbound



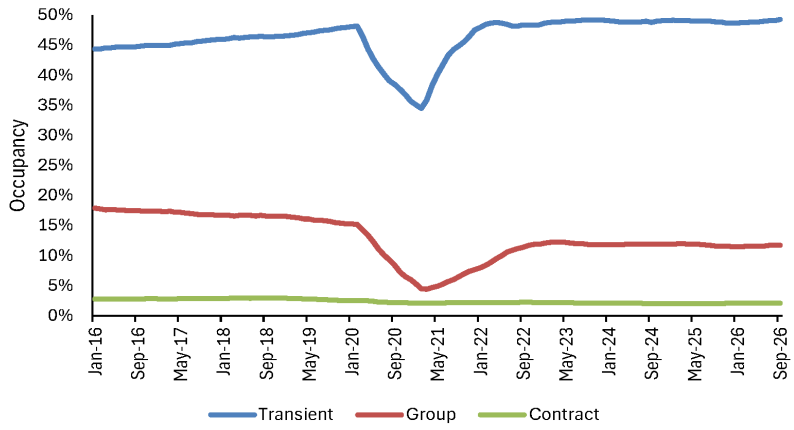
Source: National Travel & Tourism Office, Nomura

Occupancy Trends for Transient and Group Segments Diverge Further

However, another bright spot for hotel demand is transient occupancy which made new highs during 3Q26 and remains above pre-COVID levels (*Fig. 55*). Along with improving transient business travel mentioned above, transient leisure occupancy has also performed well. Marriott noted in its 2Q26 earnings call that transient leisure RevPAR rose 7% in the US, its best performing customer segment.

Group occupancy recovered from pandemic-era lows but by late 2023 had resumed declining. Businesses are still reluctant to spend on large group gatherings, especially given the increases in airfare and hotel rooms. The Deloitte survey showed large drops in companies reporting increased travel spending for conferences/trade shows and leadership meetings, as well as a smaller in travel spending for team meetings. Of survey respondents reporting that their team is travelling less, the percentage pointing to high hotel rates jumped to 41% in 2026 from 20% in 2025.

Fig. 55: Hotel occupancy by type



Source: CoStar, Nomura

Given that high hotel rates seem to be discouraging group bookings, hotels could likely drive occupancy higher with lower average daily rates (ADRs). However, **lower occupancy and higher ADRs is a feature of hotel operating strategy today, not a bug.**

Optimizing for RevPAR and Profitability, not Occupancy

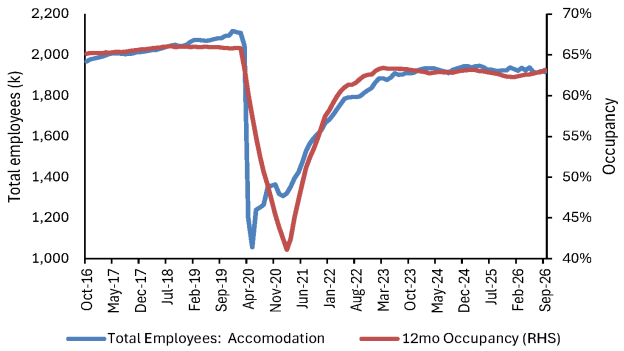
Hotel operators are not managing properties towards full occupancy; they are managing to maximize earnings.

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During Host Hotels & Resorts 2Q26 earnings call in August, President & CEO Jim Risoleo responded to a question about rising transient revenue even as transient room nights were falling: "But the rate driven RevPAR growth was not an accident. That was a revenue management strategy that we employed across the portfolio." He later added: "And the intent was to drive rate and take occupancy where you could get premium rate. So I think that's a good strategy, and demand is there for it, and that would be our strategy going forward."

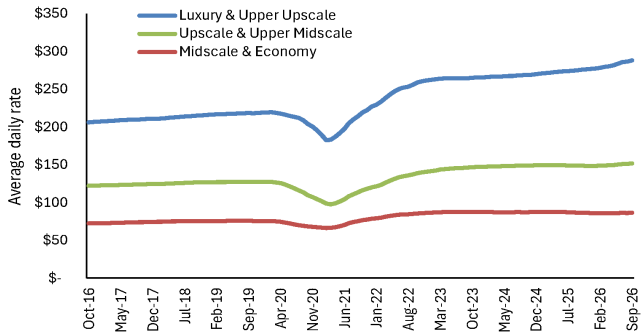
We're seeing exactly what we'd expect to see from this revenue optimization strategy. Hotel employment has remained stagnant below pre-pandemic levels, tracking occupancy (*Fig. 56*). Meanwhile, ADRs quickly recovered from COVID lows, making new highs by 2021 in the luxury/upper upscale and midscale/economy segments (2022 for upscale/upper midscale). Those ADRs are now 32% higher than 2019 levels at the upper end of the quality spectrum, and 14$-19% higher in lower quality segments (*Fig. 57*).

Fig. 56: Hotel employment and occupancy



Source: BLS, CoStar, Nomura

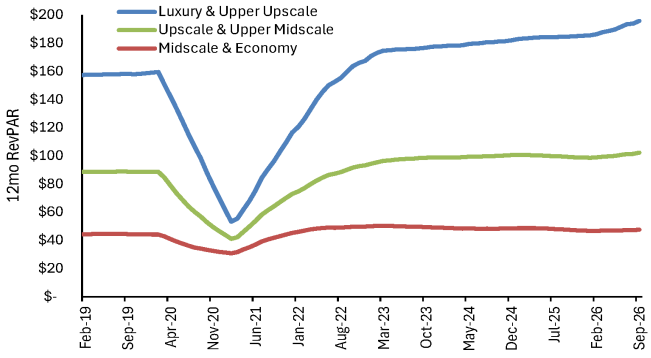
Fig. 57: Hotel average daily rate by segment



Source: CoStar, Nomura

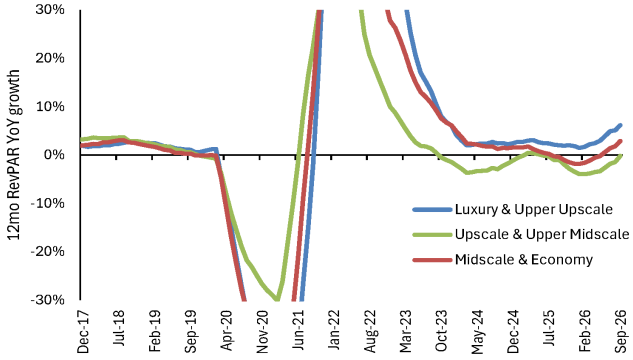
The strategy has been working, especially in the high-end luxury and upper upscale segment where spending is less price sensitive. The result is Revenue per Available Room (RevPAR) that is currently 24% higher than 2019 levels at the high-end of the quality scale (versus +15% and +7% at the mid and low ends respectively). As both occupancy and ADRs have been rising throughout 2026, RevPAR growth has accelerated to 6.2% year-over-year for high-end hotels, up from 2.1% at this time last year.

Fig. 58: 12m rolling RevPAR by segment



Source: CoStar, Nomura

Fig. 59: 12mo RevPAR YoY growth



Source: CoStar, Nomura

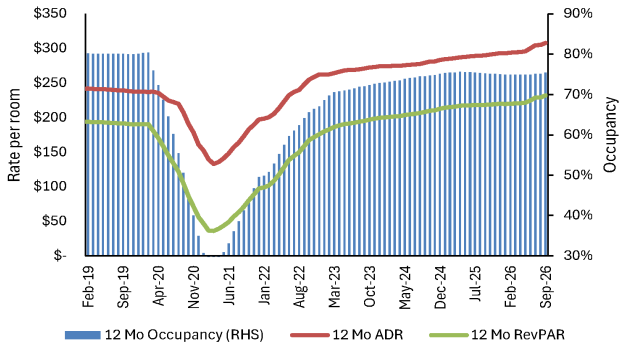
Apart from outperformance at the upper end of the quality spectrum, we also find major gateway CBD hotels and resorts outperforming. Downtown hotels in gateway metros currently see occupancy at 4.7% below 2019 levels, but RevPAR 21% higher (*Fig. 60*). These are the hotels that will benefit the most from increased business travel.

hotels have performed even better. Occupancy is only 3.9% below 2019 levels evPAR is 30% higher (*Fig. 61*). High-end leisure travel bounced back quickly after

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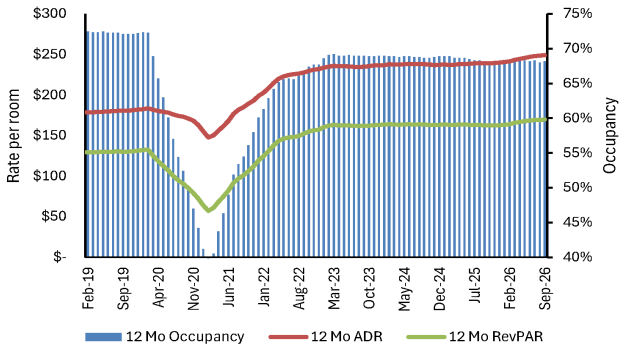
2020 and transient leisure travel has been a bright spot.

Fig. 60: Gateway market CBD hotels



Source: CoStar, Nomura

Fig. 61: Resort hotels



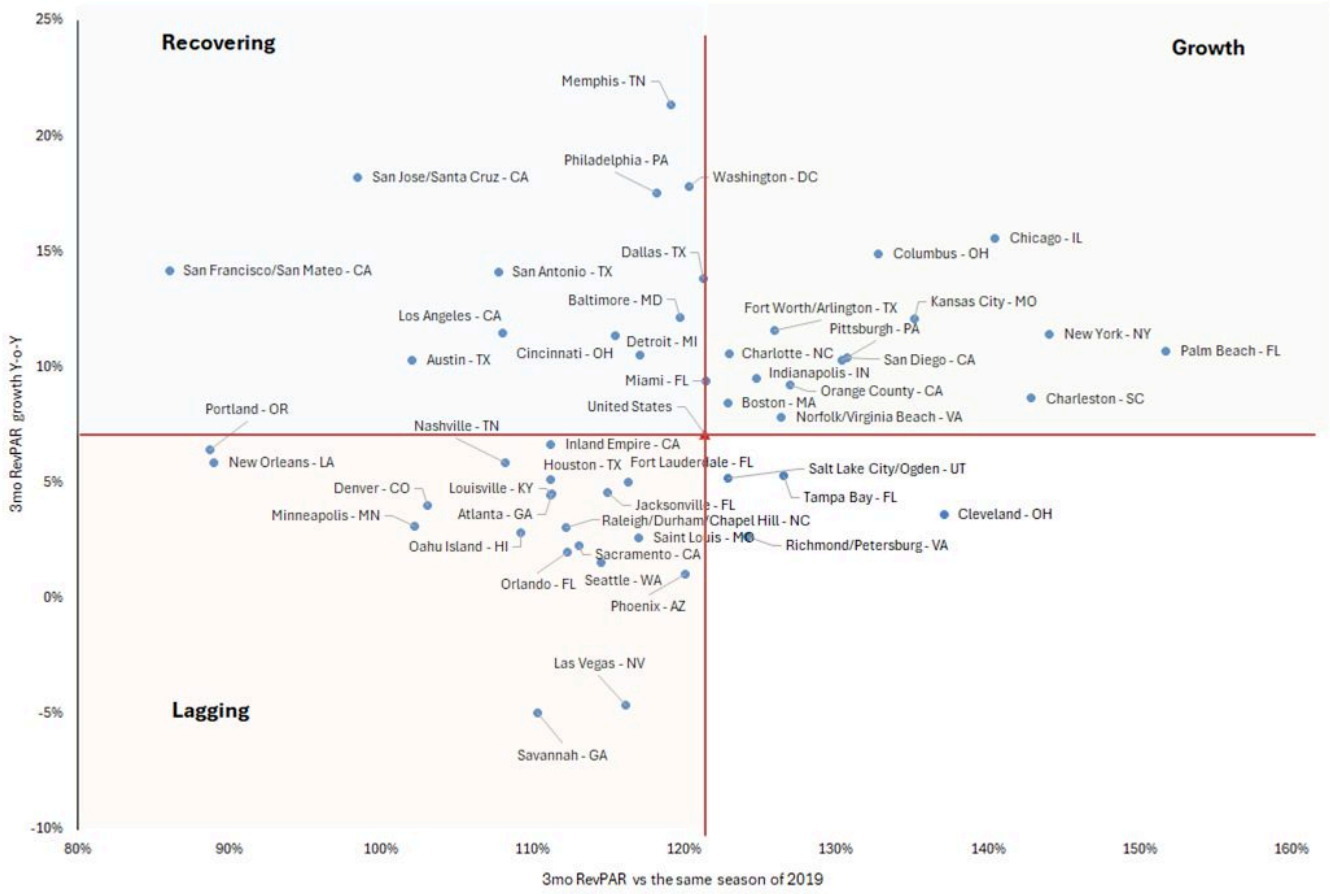
Source: CoStar, Nomura

Market Performance – Major Office & Leisure Markets Lead the Way

At the individual market level, there are large differences in RevPAR performance. The chart below shows current 3-month average RevPAR as a percentage of 2019 levels (horizontal axis) as well as recent momentum as measured by year-over-year gains in RevPAR (vertical axis).

At the national level, RevPAR stands at 121% of 2019 levels (horizontal axis) while RevPAR is currently growing at 7.1% year-over-year (vertical axis).

Fig. 62: 3m rolling RevPAR: level vs momentum



Source: CoStar, Nomura

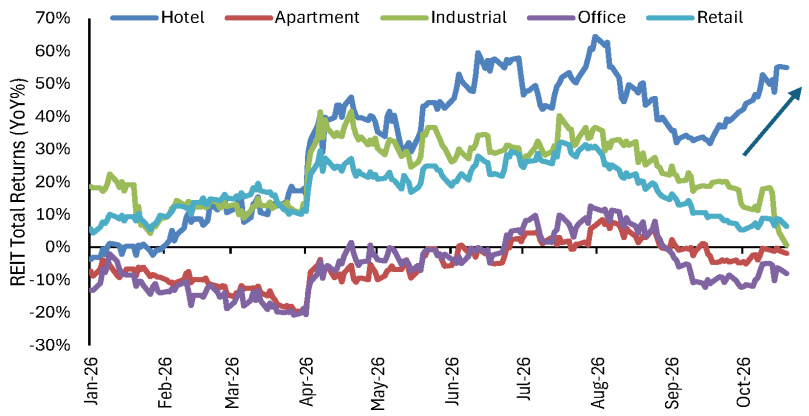
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- **Lagging Markets**: In the bottom left quadrant are markets lagging the nation in both RevPAR level and momentum. Here we find struggling major markets like Denver, Minneapolis and Portland. Oahu Island (Honolulu) is also part of this group, which has faced a headwind from a lack of international travel. The Nashville market has struggled with oversupply as over 1,000 rooms have delivered in the last 12 months on top of 3-year average deliveries of around 1,600 rooms. Savannah has faced similar supply issues. Las Vegas, the largest hotel market in the US, has struggled from several major headwinds since the pandemic. Overall visits to Las Vegas have declined, airport traffic has declined, and international visits have declined. Changes in consumer entertainment preferences away from casinos along with competition from online gambling has added to these headwinds. While Las Vegas saw an impressive recovery in 2023 and 2024, and current RevPAR still sits at 116% of 2019 levels, the deterioration seen in 2026 is notable.
- **Recovering Markets**: The top left quadrant, markets that have underperformed since 2019 but are recovering quickly, are headlined by San Francisco and San Jose (markets seeing similar recoveries in office and apartment sectors) as well as Austin and Los Angeles.
- **Growth Markets**: The top right quadrant contains markets that are well above 2019 RevPAR and continue to see growth that outpaces the national average, **Unsurprisingly we find a mix of office markets benefiting from increased business travel and some leisure-focused markets**. Many of our best performing gateway markets are here: New York, Chicago, Dallas-Fort Worth, Boston and Miami. Note that Philadelphia and Washington DC will also move into this quadrant (from the top left) should recent strength continue. Leisure-heavy markets like Palm Beach, Charleston and even Virginia Beach show up in this quadrant.

Hotel Valuations Hold Up Better In Current Rate Environment

Echoing the improving hotel fundamentals seen in 2026, the publicly traded hotel REITs have been the best performing sector this year. That relative strength only increased since the recent increase in interest rates that began in late August. If we believe that publicly-traded REITs are a good leading indicator of private market values, this is a good sign.

Fig. 63: REIT total returns YoY



Source: Bloomberg, Nomura

This forward looking view on hotel valuations signaled by REITs makes sense.

Given higher structural cap rates in the hotel sector, **hotels should be less sensitive to the rise in interest rates**. According to RCA data, we've seen the higher cap rates on limited service hotels decline, approaching 8%, while full service hotel cap rates have been rangebound between 7% and the low 8% range for several years, though they did igher after rates rose in 2022 (*Fig. 64*). With the 10yr Treasury yielding around se represent spreads between 200-300bps wider. While these are relatively

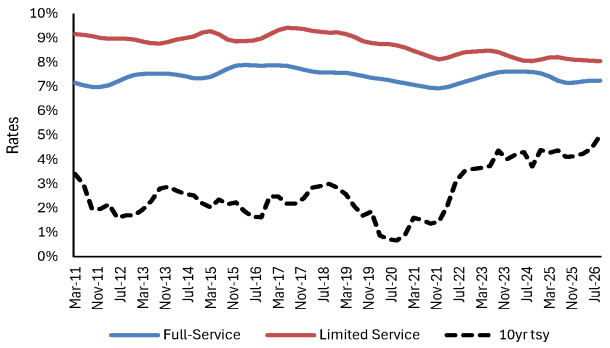
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narrow by historical standards, they are more than double the roughly 100bp spread in multifamily and 140bp spread in industrial cap rates.

Not only are hotel cap rates protected by being structurally higher, they would also be less sensitive to rising Treasury rates if those rates are rising due to strong economic growth. Hotels are more economically sensitive than rate sensitive.

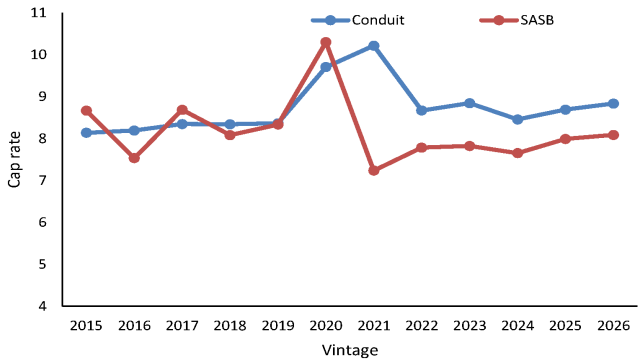
Appraisal cap rates in conduit and SASB deals have been fairly steady in a similar range, outside of 2020-2021 volatility (*Fig. 65*).

Fig. 64: Hotel cap rates vs 10yr treasury yield



Source: RCA, Bloomberg, Nomura

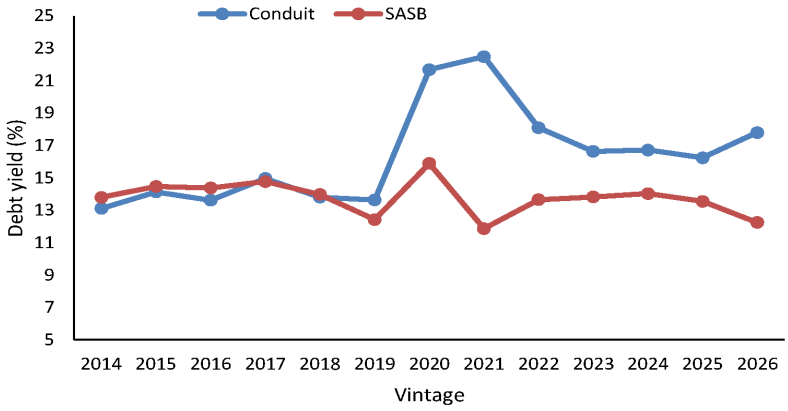
Fig. 65: Hotel cap rates by deal type



Source: Trepp, Nomura

The same is true for debt yields, which have been fairly stable in the low teens for large, higher quality SASB deals and have trended higher on recent vintage conduit loans. These shouldn't feel much pressure from higher interest rates, unlike some lower debt yield sectors.

Fig. 66: Hotel debt yield by deal type



Source: Trepp, Nomura

Construction activity not a risk to the hotel sector

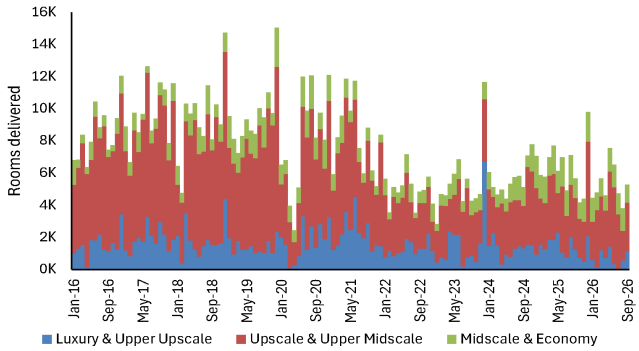
Unlike other property types that saw large supply waves pressure occupancy and rents, the lack of new deliveries and construction activity has helped stabilize hotel occupancy. Rooms delivered (*Fig. 67*) in 2026 has averaged about half of what was seen from 2017-2019 (and even fewer luxury and upper upscale rooms). The majority of construction activity remains in the upscale and upper midscale range.

While the number of rooms currently under construction appears low and stable, the number of rooms in the final planning stage appears to show a large wave of future supply (*Fig. 68*). **However, most of these projects are usually delayed** for a variety of reasons related to approvals, obtaining financing, as well as construction and financing costs. According to CoStar's/STR's Jan Freitag: **"The result is a hotel construction**

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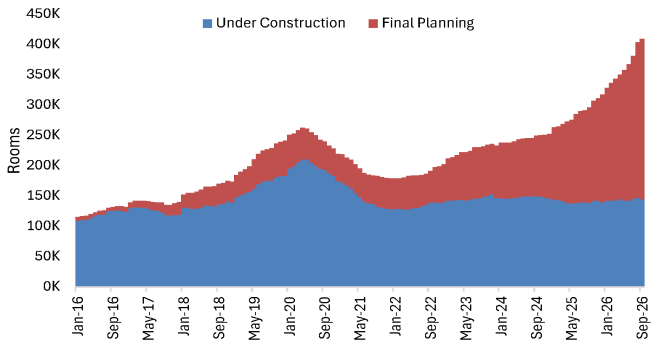
pipeline that is continuously replenished with an expected peak that never arrives."

Fig. 67: Rooms delivered by segment



Source: CoStar, Nomura

Fig. 68: Hotel construction pipeline



Source: CoStar, Nomura

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Market update

Research Analysts

US Securitized Products

Paul Nikodem - NSI
paul.nikodem@nomura.com
+1 212 667 2130

Joseph Gais - NSI
joseph.gais@nomura.com
+1 212 667 2028

Primary and secondary CLO: Primary and secondary CLO AAA spreads were largely unchanged over the past week, with top tier AAAs recently pricing at 118bp and full tenor AAAs trading around 120bp. Month-to-date new issue volumes total $7bn, with refi/reset volumes at $17bn. We expect refi/reset supply to continue to ease through the end of the year.

Meanwhile, CLO AAA ETF inflows have totaled $230mn thus far this week, bringing YTD CLO AAA ETF inflows to $22bn. Elevated AAA ETF inflows have partly supported CLO AAA spreads in recent weeks, which have seen marginal spread widening since late-September despite significant widening in *other sectors*. We continue to see asymmetric spread tightening/widening potential for AAAs—easing supply coupled with high ETF demand could drive spreads slightly tighter, but with the potential for greater AAA spread widening if spreads in IG corporates/other sectors widen further.

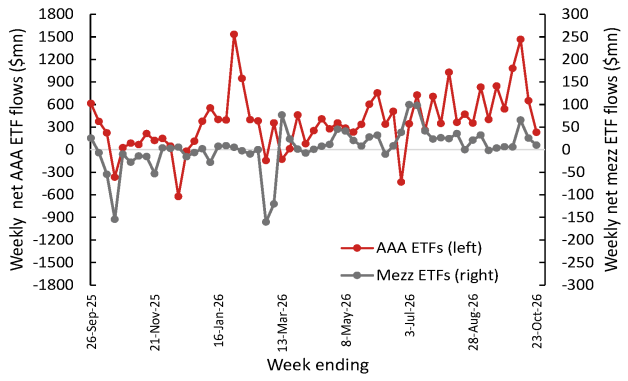
Fig. 69: CLO pricing comparison

Primary spreads based on recent pricings

		AAA	AA	A	BBB	BB
Secondary Spreads (bp)		105-130	150-165	180-215	240-360	460-1200
Secondary - $px		99+	99+	99+	95-100+	80-100+
Secondary - Median MVOC		149%	126%	117%	109%	104%
Primary - Top tier 5/2		118	140	160	240	505
Historical Spreads (bp, vs SOFR)						
Primary (top tier 5/2)	Early 2025 Tight	110	140	165	240	440
	Late Nov. 2021	139	190	220	325	650
	Early 2018 Tight	118	155	195	275	520
Secondary	Late Nov. 2021	130-155	185-210	215-250	345-420	700-875

Source: Bloomberg, Nomura

Fig. 70: Net weekly CLO AAA and mezz ETF flows



Source: Bloomberg, Nomura

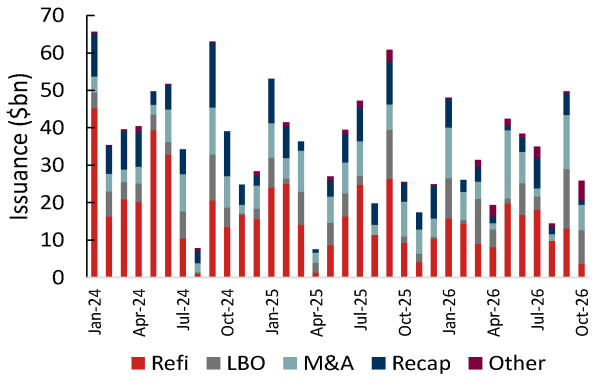
Loan market update: New institutional loan issuance has totaled $1.9bn thus far this week. Meanwhile, the net forward calendar decreased by $7bn over the past week and is now at $4bn. The share of loans trading above par declined further over the past week, falling by four points to 13%, and the LSTA index decreased by 30c to $94.54 over the same period.

Median software loan spreads widened by 13bp over the past week, while overall performing loan spreads widened by 6bp. Overall loan spreads are now 11bp wider month-to-date.

Notable price declines over the past week include Foundever and Dave & Buster's. Foundever recently *executed an LME* with manager recoveries well below long-term averages. The post-LME loan that managers exchanged into has fallen by another ten points over the past week, further pressuring recoveries for participating managers. Dave and Buster's TLs underperformed following *news* that the company tapped legal counsel ahead of balance sheet discussions.

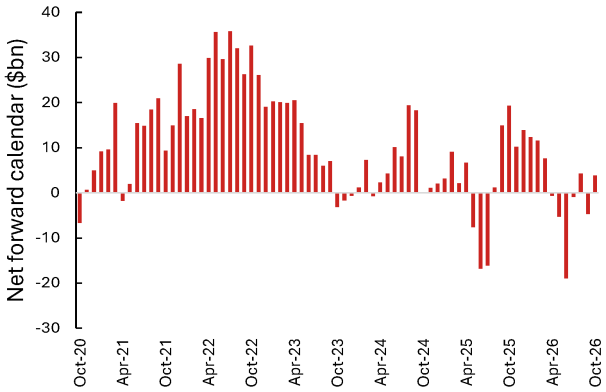
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Fig. 71: Monthly loan issuance by purpose



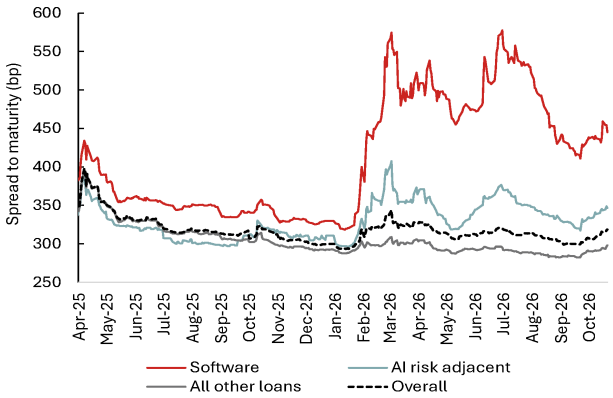
Source: LCD, Nomura

Fig. 72: Net forward calendar over time



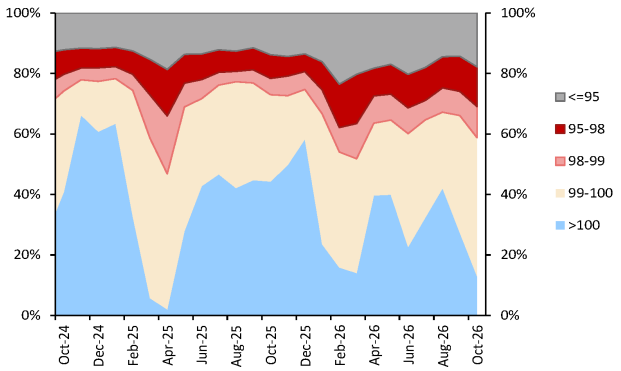
Source: Nomura

Fig. 73: Loan spreads to maturity by sector



Note: Other AI risk adjacent sectors include professional services, health care technology, IT services, and insurance
Source: Intex, Markit, Nomura

Fig. 74: Price distribution of loans in CLOs

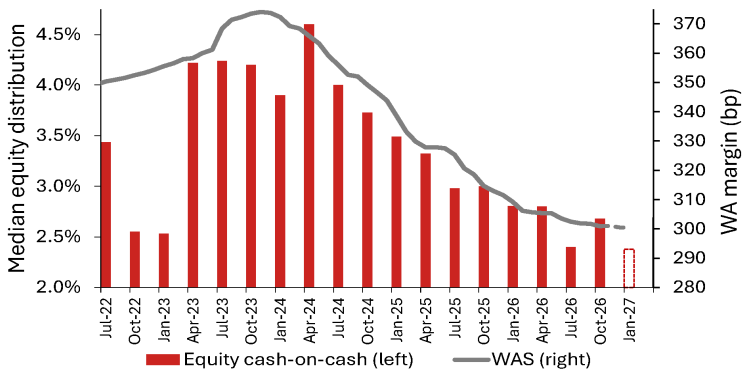


Source: Intex, Markit, Nomura

Equity distributions pick up in October payments

Median equity distributions increased to 2.7% in October for reinvesting deals that have reported thus far, a +0.3% increase vs July, with distributions benefiting in part from higher 1m SOFR rates later in the interest collection period. Longer term, rate hikes could be a slight positive for equity distributions, although *we expect only one additional rate hike* in December before pausing in 2027, less than current market pricing. Repricing activity should be muted in the near term, and the recent widening in loan spreads should allow for some managers to add WAS, although some net spread loss from trading will likely persist.

Fig. 75: Quarterly equity distributions: past and projected



ludes reinvesting deals only
ntex, Nomura estimates

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Q3 Downgrade Review

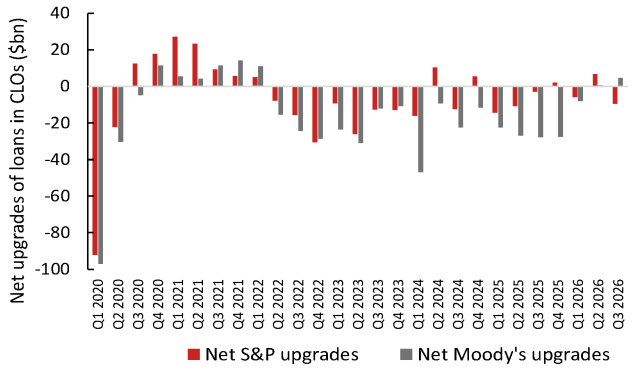
Loans in CLOs *continued to see* net upgrades by Moody's in Q3, totaling $4.6bn vs $0.4bn of net upgrades the prior quarter. S&P downgrades picked up from Q2 however, with $9.5bn of net downgrades in Q3. Loans in CLOs have seen slight net downgrades from both Moody's ($3bn) and S&P ($9bn) this year, although Moody's downgrades have eased compared to last year, when net Moody's downgrades totaled $77bn through Q3.

CCC/Caa downgrades for both agencies picked up in Q3, with $9bn of net downgrades by S&P and $5bn of net downgrades by Moody's. Net downgrades increased by $3bn from Q2 for both S&P and Moody's; however, S&P CCC net downgrades continue to outpace Moody's, totaling $15bn vs $10bn. Cornerstone OnDemand was the largest S&P CCC downgrade in Q3, but was only *placed on negative outlook* by Moody's.

We expect 2.5% of net CCC/Caa downgrades next year. The software sector accounts for the highest share of B-/higher rated loans trading <$90, which has historically correlated to greater risk of a CCC downgrade; this is partly driven by longer-term uncertainty for the sector that may not necessarily drive downgrades in the near term, however.

Fig. 76: Net upgrades: Moody's vs S&P

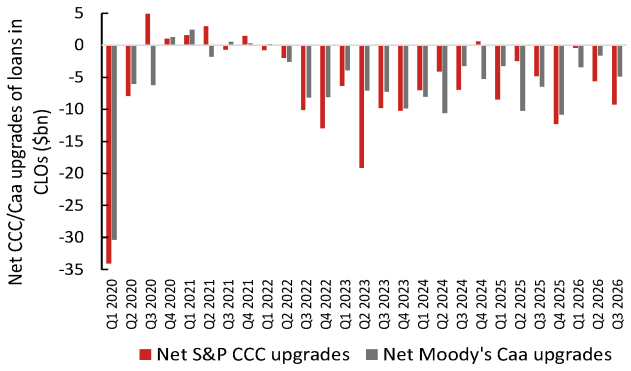
Negative values indicate net downgrades



Note: Loan volumes in CLOs; negative values indicate net downgrades
Source: Intex, Bloomberg, Nomura

Fig. 77: Net CCC/Caa upgrades: Moody's vs S&P

Negative values indicate net downgrades



Note: Loan volumes in CLOs; negative values indicate net downgrades
Source: Intex, Bloomberg, Nomura

Downgrade rates by sector

Several sectors saw notable net downgrades by S&P and/or Moody's in Q3:

- **Software**: S&P/Moody's downgraded several large issuers in the sector, resulting in 4%/3% net downgrade rates in Q3 and bringing YTD net Moody's downgrades to 10%. Refinancing risk for short maturity loans was cited as a key driver in many downgrades. Automotive technology company CDK Global was downgraded two notches by both agencies from B-/B3 to CCC/Caa2, facing increased customer churn and competitive headwinds from emerging players, and CDK has been unable to refinance its upcoming debt maturities. Refinancing risk likewise drove downgrades by S&P and/or Moody's for Skillsoft, Cornerstone OnDemand, and Symplr. Declining annual recurring revenue drove downgrades of Veracode and Smartbear by both agencies.
- **Building Products** continued to see elevated downgrade rates, with net downgrades totaling 4% and 10% for S&P and Moody's respectively in Q3. S&P downgraded specialty building material distributor US LBM from B- to CCC+ on weak residential housing demand driving EBITDA declines, having previously been downgraded by Moody's to Caa1 in Q1 2026. Moody's downgraded Cornerstone Building Brands, as weak repair and remodeling activity have pressured sales volumes, compounded by the discretionary nature of many Cornerstone products as consumers opt for lower cost renovation projects instead. Both overall and CCC/Caa downgrade rates are among the highest of any major sector in CLOs as shown in *Fig. 78*.
- **Healthcare Services:** This sector saw elevated CCC/Caa downgrade rates largely

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from the downgrade of ADMI Corp by both agencies due to increased refinancing risk from near term maturities, as ADMI has pursued an aggressive debt-funded growth strategy driving high leverage, alongside a near-term 2027 maturity for its revolver.

Fig. 78 shows YTD net downgrade rates across ratings agencies and sectors through Q3-end.

Fig. 78: YTD net downgrade rates by sector

Sector	Share of CLOs	Net S&P DG	Net Moody's DG	Net S&P CCC DG	Net Caa Moody's DG
Software	11%	5%	10%	5.4%	3.5%
Hotels, Restaurants & Leisure	6%	6%	9%	0.0%	1.9%
Media	6%	3%	-13%	0.1%	1.5%
Health Care Providers & Services	6%	-6%	-8%	3.6%	3.6%
Chemicals	4%	24%	14%	1.4%	0.0%
Commercial Services & Supplies	4%	0%	11%	0.0%	-0.3%
Insurance	4%	9%	-8%	0.0%	0.0%
Professional Services	4%	-12%	-6%	0.0%	-1.4%
Machinery	4%	-14%	-12%	1.4%	0.0%
Aerospace and Defense	4%	-11%	-9%	5.0%	0.0%
Financial Intermediaries	3%	-3%	4%	0.0%	0.0%
Specialty Retail	3%	-2%	-17%	0.0%	0.0%
Capital Markets	3%	1%	16%	0.0%	0.0%
Oil, Gas & Consumable Fuels	3%	-8%	-4%	-0.2%	0.0%
Building Products	3%	20%	29%	5.8%	7.5%
Containers & Packaging	3%	1%	6%	1.3%	3.2%
Diversified Telecommunication Servic	2%	11%	-3%	0.0%	3.3%
Health Care Technology	2%	1%	-4%	0.0%	0.0%
Food Products	2%	3%	-5%	2.0%	0.0%
Diversified Consumer Services	2%	-4%	-3%	0.0%	0.0%
All loans		**1%**	**0%**	**1.7%**	**1.1%**

Note: Data through Q3; negative values indicate net upgrades; based on loan volumes in CLOs; sectors based on most commonly reported S&P rating by CLOs; includes negative creditwatch/reviews for downgrade
Source: Intex, Bloomberg, Nomura

Sector Considerations for 2027

We review sectors of focus and key considerations in areas such as AI infrastructure, building products, and software. Data center-related loan issuance remains at a record high, and we expect issuance from this cohort to continue to increase as AI capex grows and issuers diversify funding sources, resulting in $40bn of data center/GPU TL issuance next year. Building products will likely see continued earnings weakness next year amid higher rates, with pressures particularly concentrated in issuers more exposed to new residential construction. Finally, the software sector has outperformed in recent months, but has still underperformed significantly YTD following AI-disruption concerns in H1. Valuations have improved in recent months, although implied volatility remains elevated, suggesting loan spreads could remain wide. Dispersion in the sector has increased, and we review recent performance and AI disruption risk across software subsectors. Amend and extend activity among software issuers has picked up recently, with 100bp+ spread increases in many cases—we review relative LME risk vs A&E potential across software TLs.

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Fig. 79: CLO portfolio returns: estimated total return by sector

		Annual total return of loans in CLOs						
Sector	Current share in CLOs	2021	2022	2023	2024	2025	2026 YTD	Oct 2026
Aerospace and Defense	4%	5.0%	2.8%	12.0%	7.1%	7.0%	4.0%	0.2%
Auto Components	2%	7.4%	-2.8%	14.8%	8.4%	-1.4%	3.1%	-0.7%
Building Products	3%	4.5%	-2.8%	17.8%	9.7%	4.5%	-3.2%	-2.0%
Capital Markets	3%	3.5%	1.5%	11.2%	9.2%	7.5%	4.1%	0.2%
Chemicals	4%	5.0%	-0.2%	12.0%	9.9%	-3.1%	8.1%	-0.5%
Commercial Services & Supplies	4%	5.6%	0.4%	11.5%	8.4%	6.0%	4.4%	-0.1%
Construction & Engineering	1%	5.6%	-2.6%	14.3%	9.5%	6.4%	3.2%	-0.7%
Containers & Packaging	3%	5.2%	0.8%	12.4%	9.7%	3.0%	5.4%	0.1%
Diversified Consumer Services	2%	5.3%	-1.3%	14.0%	8.4%	6.7%	3.8%	-0.3%
Diversified Financial Services	2%	4.4%	2.4%	12.8%	9.6%	6.5%	6.1%	0.2%
Diversified Telecommunication Services	2%	4.4%	-5.5%	9.8%	9.4%	10.5%	-1.6%	-3.4%
Electric Utilities	2%	1.2%	5.3%	10.5%	11.5%	7.7%	4.4%	0.1%
Financial Intermediaries	2%	4.9%	3.3%	15.6%	7.7%	6.7%	4.4%	0.0%
Food Products	2%	4.6%	0.6%	10.6%	8.0%	6.0%	5.2%	-0.2%
Health Care Equipment & Supplies	2%	5.8%	-1.1%	14.8%	9.8%	8.2%	3.6%	-0.2%
Health Care Providers & Services	5%	5.1%	-7.7%	12.5%	11.9%	5.9%	5.7%	0.0%
Health Care Technology	2%	4.9%	0.0%	14.7%	9.2%	6.6%	5.2%	0.0%
Hotels, Restaurants & Leisure	6%	5.6%	2.6%	11.8%	8.5%	6.5%	2.4%	-0.7%
Insurance	4%	4.4%	1.5%	14.6%	9.5%	7.8%	2.0%	-0.1%
IT Services	2%	6.0%	-5.0%	10.3%	5.9%	5.8%	5.6%	-0.4%
Machinery	3%	5.3%	1.1%	14.0%	8.6%	7.5%	4.3%	0.2%
Media	5%	3.1%	-2.6%	12.9%	9.6%	7.0%	4.4%	-0.4%
Oil, Gas & Consumable Fuels	3%	8.5%	5.5%	12.2%	9.6%	6.5%	5.3%	0.2%
Others	14%	6.1%	-0.1%	12.5%	8.6%	6.7%	4.5%	-0.3%
Pharmaceuticals	1%	4.6%	-1.1%	13.1%	10.6%	7.4%	5.3%	0.2%
Professional Services	4%	5.8%	0.9%	13.3%	9.6%	4.8%	4.0%	-0.4%
Software	11%	5.1%	-1.9%	15.0%	7.3%	6.4%	-1.8%	-0.2%
Specialty Retail	3%	5.5%	-1.7%	11.6%	9.7%	6.5%	5.7%	0.2%
All loans		**5.2%**	**-0.9%**	**12.9%**	**9.0%**	**6.0%**	**3.5%**	**-0.3%**

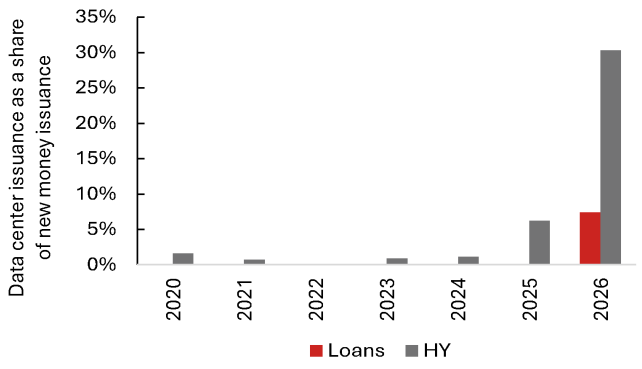
Note: Based on most commonly reported S&P sector classification; carry returns based on all-in coupon of non-defaulted loans as a % of market value
Source: Intex, Markit, Nomura

AI infrastructure

The AI infrastructure buildout has driven a record share of new loan issuance from data center/neocloud issuers this year. We estimate that loan issuance from this cohort totals $16bn, accounting for 7.5% of overall new loan supply this year. Data center-related loan supply is still much lower than corporate bond markets, however, as data center/neoclouds make up 30% of new high-yield issuance YTD. We expect new loan issuance from this cohort to continue to increase given further AI capex growth in 2027 and as issuers diversify their funding sources, especially given limited overall net supply in the BSL market compared to high-yield this year. **We expect data center/GPU TL issuance to total around $40bn next year as a result, although there is large variability in potential GPU issuance volumes.**

Loan spreads among this cohort remain much wider than that of the overall primary market. This is particularly the case on a ratings-adjusted basis, as recent Ba/BB GPU TLs have priced more than 200bp wider than other Ba/BB TLs. Thus, increased issuance should be a tailwind for CLO asset spreads.

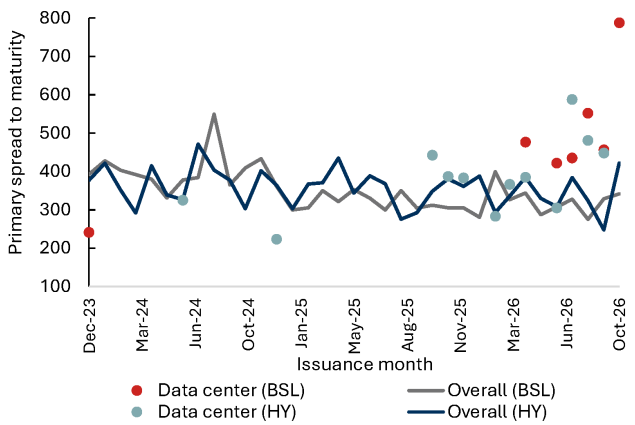
Fig. 80: Data center share of new money issuance: leveraged loans vs HY



Source: LCD, Nomura

Fig. 81: Leveraged loan and HY primary spreads: data center vs overall

HY spreads vs interpolated swap curve



Source: LCD, Bloomberg, Nomura

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Considerations for data center TLs

As discussed in our *prior report*, there are several considerations to be taken into account when evaluating data center-related TLs:

- **Neocloud vs data center**: Neoclouds—issuers that rent out GPU usage directly to customers, with TLs collateralized by contracted revenues and the underlying GPUs—tend to trade at wider spreads than data center operators, who operate and lease out physical data centers.
- **Tenant credit quality**: The credit of the off taker/tenant itself is a large driver of relative credit, as contracts with higher-rated hyperscalers are generally viewed favorably vs more speculative issuers, such as AI labs.
- **Renewal risk** is another consideration for some neocloud TLs with shorter initial contracts, which may then have to find new offtakers while TLs are still outstanding, although several neocloud issuers have priced with amortization and/or cash sweep provisions to accelerate debt repayments and mitigate renewal risk. Physical data center lease durations vary, but hyperscaler leases are often contracted over longer periods of 10+ years.
- **Depreciation**: Depreciation is a significant consideration for neocloud issuers—some issuers assume a six-year straight-line depreciation schedule, but some investors have suggested that the pace of GPU improvements could lead to a shorter depreciation timeline.

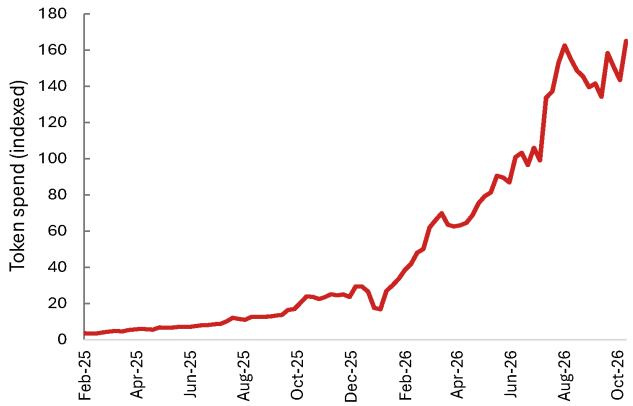
Other considerations include operational risks—such as power costs for neoclouds and maintaining high uptime levels for data center operators, among others—force majeure provisions, and covenants (e.g., DSCR maintenance covenants for neoclouds).

Beyond just the leveraged loan market, there has been increased scrutiny of the profitability of AI-related spending recently. As shown in *Fig. 82*, aggregate token spend among firms transacting via payment processor Ramp picked up sharply early this year, but growth has slowed since then, and slower than expected *recurring revenue growth for Anthropic* amplified concerns over AI monetization. That being said, compute demand appears to continue outstripping supply, as rental rates for Nvidia's H100 and B200 chips have continued to increase recently (*Fig. 83*).

Meanwhile, data center-related TLs have seen slight price declines of 1-3 points month-to-date, with the largest price declines among neocloud TLs facing potential renewal risk.

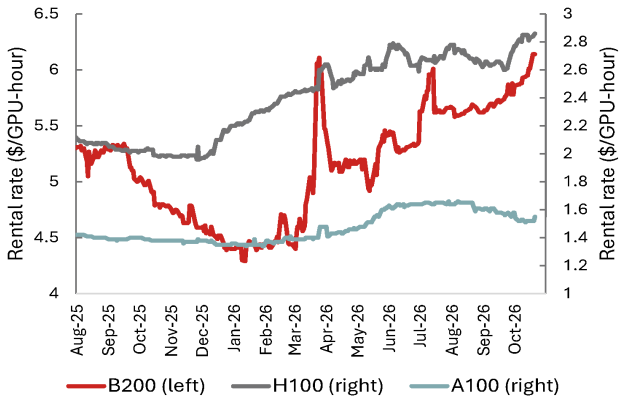
Fig. 82: Business token spend increased sharply through July but has leveled off since then

Based on transaction data for firms on Ramp



Source: Ramp AI Index, Nomura

Fig. 83: GPU rental rates have increased YTD, particularly in more recent chip models



Source: Silicon Data, Bloomberg, Nomura

There is some variation in high-yield vs leveraged loan data center TLs/bonds. In contrast to leveraged loans, where data center operator TLs have data center portfolios that are typically already completed, several high-yield bonds have financed projects that still require permits or are under construction. Neocloud high-yield bonds have also frequently issued unsecured at the parent level, rather than via bankruptcy-remote SPVs that are typically used for TLs.

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Other sectors with AI-related tailwinds

While data center-related TLs are most directly impacted by the AI infrastructure buildout, other areas of the loan market have seen earnings tailwinds from AI-related spending. Examples include construction/engineering firms with data center segments; industrial cooling, systems monitoring, and physical safety systems; enterprise fiber and network systems; power; and semis/electronic hardware. In total including these sectors, AI infrastructure-related issuers account for around 6% of overall CLO holdings (*Fig. 84*).

For many of these issuers, data center related-earnings may make up only a segment of overall revenue (albeit fast growing in many cases), and thus the impact of a potential pullback in AI infrastructure spending could vary across issuers and sectors. **While longer-term potential returns for AI spending are uncertain, and there could be earnings volatility for AI infrastructure adjacent issuers at some point, we expect continued capex/AI infrastructure growth to remain a tailwind for these sectors next year.**

Fig. 84: Subsectors of the loan market related to the AI infrastructure buildout

Sector	Share in CLOs	WA price	WA margin (bp)	Description
Data center	0.7%	97	327	Data center operators and neoclouds
Data center construction	0.4%	96	334	Construction materials, engineering, and design issuers with disclosed data center lines or growth
Infrastructure provider	2.2%	100	265	Infrastructure related to data center operations such as cooling, systems monitoring, and installation
Network/communications	0.9%	97	351	Fiber, network testing, and network equipment suppliers, among others
Power	1.4%	99	210	Power generation issuers with disclosed revenue from data centers; generator manufacturers
Semis and hardware	0.6%	100	230	Semiconductor manufacturing, materials, and other electronic hardware used in data centers
All related sectors	**6.3%**	**99**	**274**	

Source: Intex, Markit, Nomura

Building Products

Deteriorating earnings and the prospect of higher rates further subduing housing activity have driven underperformance in the building products sector. YTD market value returns now total -9% (-3% YTD total returns), the lowest of any major sector in CLOs, driving approximately 25bp of portfolio market value losses for CLOs.

Issuers most directly impacted by slowing homebuilding have seen the sharpest underperformance, as growing resale inventory and high rates have eroded builder margins back to pre-COVID levels, leading to a pullback in new housing starts (*Fig. 85*). Building products issuers which derive a majority of their revenue from new residential construction have sharply underperformed other issuers in the sector, with -30% total returns YTD.

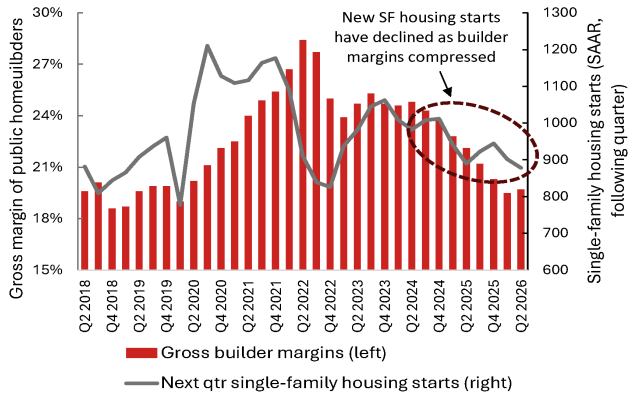
High rates have also partly contributed to weaker remodeling activity. While home improvements are *primarily paid for with cash*, homeowner mobility typically correlates to higher home improvement activity as homeowners outfit homes for sale while buyers seek improvements. Remodeling activity has weakened in recent years following the sharp increase in mortgage rates in 2022 (*Fig. 86*), although residential building products issuers more concentrated in repair and remodeling activity have generally been more resilient than those more exposed to homebuilding—we estimate a +2% YTD total return for residential repair and remodel (R&R) building products issuers. R&R weakness has been mostly concentrated in more discretionary segments (e.g., cabinetry), although a weak hurricane season partly drove lower earnings for some roofing distributors, typically a less discretionary segment.

Finally, building products issuers with a higher share of revenue from commercial/industrial end-markets have also tended to outperform, with flat total returns YTD. Some issuers have benefitted from data center construction, although commercial construction activity outside of data centers has been relatively weak.

At current rates, homebuilders will likely have to further rely on incentives to compete with growing resale home inventory next year. This should further pressure margins and limit new construction, driving muted demand for building products concentrated in residential construction, although longer term housing supply shortages should be a tailwind. R&R activity could also face headwinds in the near term as higher rates partly suppress turnover activity, but similarly could benefit longer term due to a historically old housing stock.

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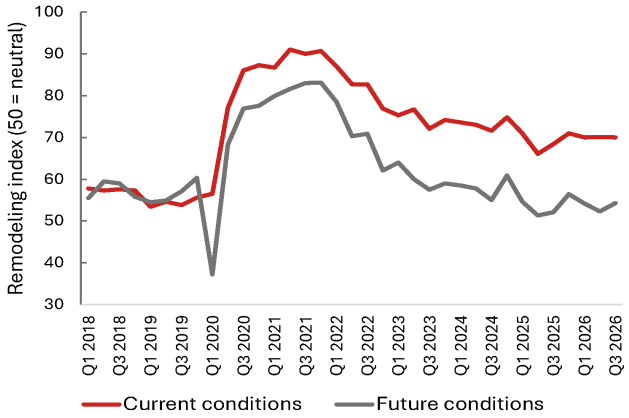
Fig. 85: Public homebuilder margins vs next quarter single-family housing starts



Source: John Burns, Bloomberg, Nomura

Fig. 86: Remodeling market sentiment has deteriorated since 2022 rate hikes, but current conditions are still higher than pre-COVID levels

Remodeling current and future market conditions indices



Note: Based on NAHB remodeling members
Source: NAHB, Bloomberg, Nomura

Software

The software sector has outperformed in recent months, but has still underperformed significantly YTD following AI-disruption concerns in H1. YTD market value returns now total -7.9%, having retraced around 30% of the H1 drawdown in Q3.

Overall software valuations have improved from H1 lows, with median small-cap software EV/EBITDA multiples now approximately 1.3x lower YTD but 3x higher vs late-February, albeit with wide dispersion. Although valuations have improved since early this year, implied volatility on public software equities has still increased sharply YTD amid increased uncertainty within the sector, suggesting credit spreads could remain wide.

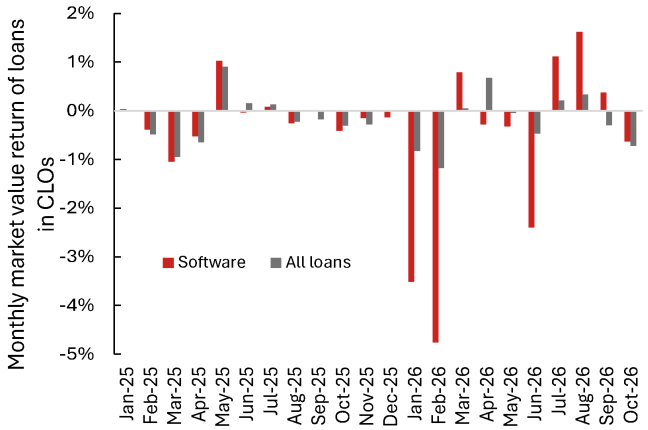
A pickup in M&A/LBO activity in the sector resulting in greater certainty in valuations is a key potential catalyst for the software sector to rally. Besides that, Q4 tends to see higher renewal activity seasonally, and thus Q4 earnings could be a trigger for both upside and downside within the sector depending on performance. Absent significant change, we expect continued focus on software issuers' new bookings/growth rates to identify early signs of disruption that could eventually lead to increased churn, poor retention, and ultimately deteriorating earnings.

Dispersion in software loans has increased. Loan spreads for software loans trading in the widest quartile have widened by 210bp YTD (*Fig. 88*), far exceeding median software loan spreads (+120bp YTD) and loans trading in the tightest quartile (+60bp YTD). Spread widening early this year largely drove the increase in dispersion, as lower price/higher spread loans saw much greater spread widening, but since then all cohorts have seen comparable levels of spread tightening (90bp to 115bp tighter).

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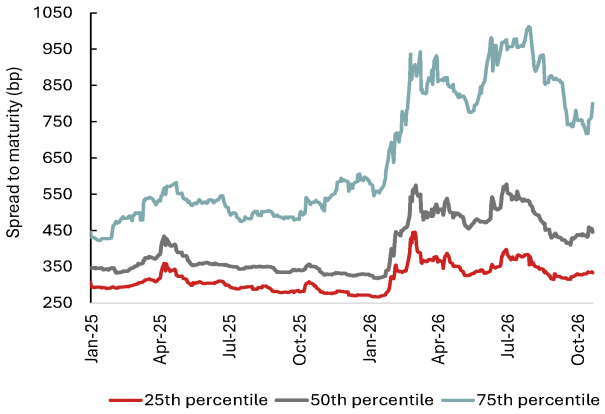
Fig. 87: Monthly market value returns: Software vs overall



Source: Intex, Markit, Nomura

Fig. 88: Spread to maturity of software loans in CLOs by percentile

Weighted-percentile by balance in CLOs



Source: Intex, Markit, Nomura

Performance across subsectors

Loan performance—and potential for AI-related disruption—vary across software subsectors. *Fig. 89* shows YTD returns across subsectors for software and IT services issuers.

- **Areas of weakness**: Some subsectors have seen broad-based weakness from concerns over AI disruption. Within data analytics, every large issuer in the subsector has seen YTD total returns of -5% or lower. IT management has also seen broader weakness, with some public issuers flagging lower renewal rates in unified endpoint management. Some smaller subsectors have also seen lackluster earnings (e.g., database software), driving weakness, while other subsectors have underperformed from more idiosyncratic tail weakness (e.g., automotive software, EdTech).
- **Outperforming subsectors**: Some subsectors have either benefitted from AI-related growth or are viewed as less exposed to disruption, driving outperformance. Some distressed cloud infrastructure issuers saw sharp price increases from the potential for AI-related earnings growth, and issuers within this subsector generally stand to benefit from increased compute spending. Most IT consulting issuers have outperformed, with some noting increased revenue from AI-related projects. More industry-specific software (e.g., FinTech, insurance, real estate, restaurants) or potentially more core to business operations (e.g., ERP) have also tended to outperform. Finally, while a small subsector overall, earnings growth in distressed travel tech issuers despite the impact of the Iran war have resulted in sharp price gains.
- **Other subsectors of focus**: The cybersecurity sector, the largest software subsector in CLOs, has slightly outperformed in aggregate, with idiosyncratic weakness among certain tail names alongside outperformance among several larger issuers. Larger public issuers have seen tailwinds from the threat of new frontier LLM models, and some public issuers in CLOs likewise noted increased *new client activity* early this year as a result.

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Fig. 89: YTD loan returns of software & IT services issuers by subsector

	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Jul-26	Aug-26	Sep-26	Oct-26	YTD return	Share in CLOs
AdTech	-2%	-7%	6%	1%	2%	0%	1%	1%	3%	0%	6%	0.2%
Automotive Technology	-3%	-11%	7%	-12%	3%	0%	2%	2%	3%	0%	-11%	0.6%
Call Centers	-1%	-6%	4%	2%	0%	0%	1%	2%	1%	0%	2%	0.4%
Cloud Infrastructure	-20%	39%	11%	8%	21%	2%	-1%	0%	1%	-2%	63%	0.5%
CloudTech & DevOps	-4%	-4%	0%	0%	0%	0%	2%	3%	0%	0%	-3%	1.0%
Cybersecurity	-3%	-3%	2%	1%	1%	-1%	1%	2%	1%	0%	-1%	2.2%
Data Management & Analytics	-6%	-7%	-7%	3%	-3%	0%	6%	-2%	-1%	-2%	-17%	0.5%
Database Software	-10%	4%	2%	2%	-4%	-8%	15%	4%	2%	-13%	-10%	0.2%
Document Management	-3%	-6%	-1%	1%	1%	0%	-1%	8%	-1%	0%	-4%	0.3%
EdTech	-2%	-6%	-1%	2%	4%	-1%	0%	2%	1%	-1%	-2%	0.4%
ERP	-1%	-1%	2%	1%	1%	-2%	1%	3%	1%	0%	3%	0.4%
Event Management	-2%	-8%	7%	2%	2%	-1%	2%	2%	0%	0%	4%	0.1%
FinTech	-2%	-3%	2%	1%	0%	-2%	2%	1%	1%	1%	3%	1.9%
HR Tech	-3%	-3%	1%	1%	1%	-4%	2%	3%	0%	0%	-3%	1.0%
InsurTech	-1%	-1%	2%	2%	1%	-2%	2%	2%	0%	0%	5%	0.5%
IP Licensing	0%	0%	1%	1%	1%	0%	1%	1%	0%	0%	5%	0.0%
IT Consulting and Outsourcing	-2%	-3%	1%	1%	2%	-1%	2%	3%	1%	0%	4%	1.1%
IT Management	-4%	-5%	1%	1%	-2%	-4%	1%	4%	3%	0%	-6%	1.2%
Legal Tech	1%	-2%	1%	2%	0%	-4%	-4%	2%	1%	0%	-4%	0.1%
Marketing Tech	-1%	-6%	3%	0%	0%	4%	0%	3%	1%	0%	5%	0.2%
Product Acquisition	1%	-4%	0%	3%	5%	3%	3%	1%	0%	0%	11%	0.0%
Real Estate	-1%	-4%	3%	2%	0%	-4%	1%	4%	1%	0%	3%	0.4%
Restaurant Tech	0%	-1%	2%	1%	0%	0%	1%	1%	0%	1%	5%	0.1%
Supply Chain Tech	-1%	-4%	2%	1%	1%	-1%	1%	2%	0%	0%	1%	0.2%
Travel Tech	0%	-9%	14%	6%	4%	7%	0%	8%	1%	-3%	29%	0.0%
Web Hosting	-1%	-6%	3%	-1%	3%	2%	2%	2%	2%	-1%	4%	0.3%
All software & IT services	**-3%**	**-4%**	**1%**	**0%**	**1%**	**-1%**	**2%**	**2%**	**1%**	**0%**	**-1%**	

Source: Intex, Markit, Pitchbook, Nomura

Software maturity considerations: LMEs vs A&Es

Beyond subsectors, outperformance in software returns continues to correlate to maturity and price. Loans trading at high prices at the start of the year have tended to see higher returns (*Fig. 90*), and controlling for price, shorter maturity TLs have mostly outperformed as AI-related earnings deterioration has been mostly muted, allowing short-maturity TLs to be extended rather than pursue an LME.

Recent software amend and extends have been executed with 100bp+ spread increases, often coupled with tighter documentation, driving slight spread gains overall. We estimate that around 12% of software loans are eligible for an extension ($95+ price, <3yrs to maturity), which could drive 1-2bp of WAS gains for CLOs overall. Meanwhile, around 11% of software loans have <3yrs to maturity and are trading at distressed levels, suggesting higher potential risk for an LME.

Fig. 90: YTD software market value returns by initial price and time to maturity

		Price as of YE 2025				
		<$90	$90-$97	$97-$100	$100+	All prices
Years to maturity (as of YE 2025)	<2yrs	-4%	-18%	0%	-1%	-3%
	2-3yrs	-21%	-14%	-2%	0%	-4%
	3-5yrs	-37%	-5%	-15%	-2%	-12%
	>5yrs	-41%	-9%	-5%	-4%	-2%
	All maturities	-34%	-11%	-6%	-4%	

Source: Intex, Markit, Nomura

Fig. 91: Price and maturity distribution of software loans in CLOS

		Software					
		<$80	$80-90	$90-95	$95-98	$98-100	$100+
Years to maturity	<1yr	0.0%	0.0%	0.0%	0.0%	1.2%	0.0%
	1-2yrs	4.7%	2.7%	1.6%	3.1%	1.3%	0.0%
	2-3yrs	6.1%	0.5%	3.0%	2.2%	4.2%	0.0%
	3-4yrs	3.9%	1.2%	0.3%	3.1%	3.4%	0.0%
	4-5yrs	0.4%	1.5%	3.9%	15.5%	6.3%	0.9%
	5yrs+	1.3%	3.8%	4.0%	13.5%	6.1%	0.3%

Higher LME risk

Potential A&E candidates

Source: Inntex, Markit, Nomura

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